

# ■ YARN MARKET INTELLIGENCE REPORT

2024-25 vs 2025-26 | Comparative Analysis & Forecast

|                         |                     |                            |
|-------------------------|---------------------|----------------------------|
| ■ GLOBAL Analysis       | ■■ INDIA State-Wise | ■ TAMIL NADU District-Wise |
| ■ CCI vs Non-CCI Impact | ■ Supply & Demand   | ■ 6-Month Forecast         |

|               |                                                                   |
|---------------|-------------------------------------------------------------------|
| Prepared By:  | Yarn Analytics Intelligence Division                              |
| Report Date:  | May 2026   Coimbatore, Tamil Nadu, India                          |
| Data Sources: | CCI, USDA-FAS, IBEF, Mordor Intelligence, AEPC, SIMA, TEA         |
| Coverage:     | Global → India (State) → Tamil Nadu (District) → Monthly Forecast |

TABLE OF CONTENTS

Report Navigation Guide

| #  | SECTION TITLE                             | PAGE |
|----|-------------------------------------------|------|
| 1  | GLOBAL YARN MARKET OVERVIEW 2024-26       | 3    |
| 2  | GLOBAL SUPPLY & DEMAND ANALYSIS           | 4    |
| 3  | GLOBAL EXPORT-IMPORT DYNAMICS             | 5    |
| 4  | GLOBAL PROBLEMS, RISKS & ISSUES           | 6    |
| 5  | INDIA YARN MARKET – STATE-WISE ANALYSIS   | 7    |
| 6  | CCI vs NON-CCI IMPACT ANALYSIS            | 9    |
| 7  | INDIA MONTHLY MOVEMENT 2024-25 vs 2025-26 | 10   |
| 8  | INDIA EXPORT-IMPORT COMPARISON            | 11   |
| 9  | TAMIL NADU DISTRICT-WISE ANALYSIS         | 12   |
| 10 | TN DISTRICT MONTHLY PRODUCTION TRACKER    | 14   |
| 11 | PM MITRA PARK – VIRUDHUNAGAR IMPACT       | 15   |
| 12 | 6-MONTH FORECAST (JUN–NOV 2026)           | 16   |
| 13 | ANALYTICAL METHODS & MODELS USED          | 17   |
| 14 | STRATEGIC RECOMMENDATIONS                 | 18   |

SECTION 1 | GLOBAL YARN

MARKET OVERVIEW 2024-26

Market Size • Growth • Regional Share

\$82.4B

Global Market Size 2025

\$86.2B

Estimated 2026 Size

5.0%

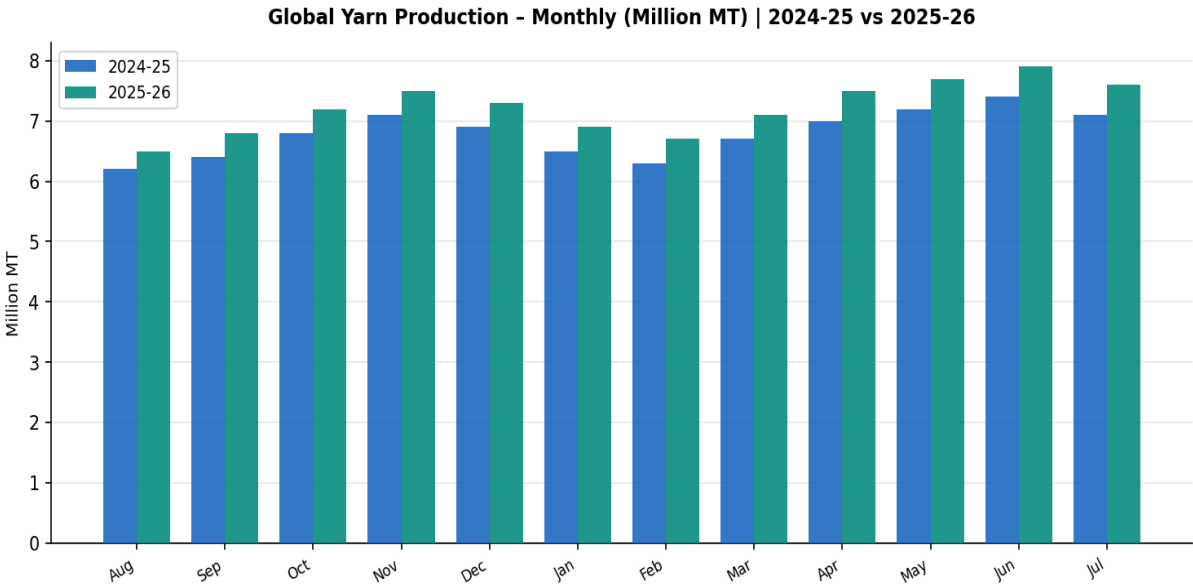
CAGR 2025-2034

34.6%

Asia-Pacific Share

1.1 Market Overview

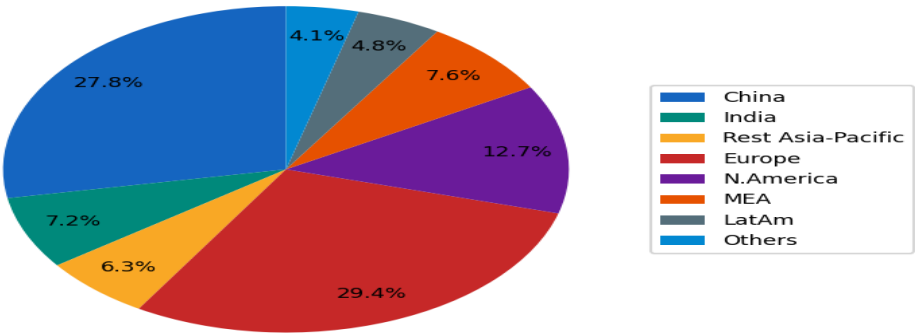
The global textile yarn market is valued at **USD 82.4 billion in 2025** and is estimated to reach **USD 86.2 billion in 2026**, growing at a CAGR of 5.0% through 2034 to reach USD 127.4 billion. Asia-Pacific dominates with a 34.6% market share, led by China and India. Synthetic yarns (polyester, nylon, acrylic) account for approximately 47% of total production, while cotton yarn remains critical for export markets including Bangladesh, Vietnam, and Egypt. Sustainability-driven demand, recycled fiber adoption, and automation in spinning are the three major structural forces reshaping competition in 2025-26.



1.2 Regional Production Share 2025-26

| Region               | Market Share | Key Countries                     | YoY Growth | Primary Yarn Type          |
|----------------------|--------------|-----------------------------------|------------|----------------------------|
| Asia-Pacific         | 34.6%        | China, India, Bangladesh, Vietnam | +6.2%      | Cotton, Polyester, Viscose |
| China                | ~31%         | Mainland                          | +4.1%      | Polyester, Viscose, Cotton |
| India                | ~8%          | TN, Gujarat, AP, Telangana        | +7.5%      | Cotton, Blended            |
| Europe               | 32.7%        | Turkey, Germany, Italy            | +2.1%      | Specialty, Technical       |
| North America        | 14.2%        | USA, Mexico                       | +1.8%      | Technical, Recycled        |
| Middle East & Africa | 8.5%         | Turkey, Egypt, Ethiopia           | +6.7%      | Cotton, Blended            |
| Latin America        | 5.4%         | Brazil, Mexico, Peru              | +3.2%      | Cotton, Synthetic          |
| Rest of World        | 4.6%         | Others                            | +2.5%      | Mixed                      |

Global Yarn Market - Regional Share 2025-26



SECTION 2 | GLOBAL SUPPLY & DEMAND ANALYSIS

Year-on-Year Comparison | Monthly Trend  
| 2024-25 vs 2025-26

+4.8%

Global Supply Growth  
2025-26

+5.3%

Global Demand Growth  
2025-26

149MT

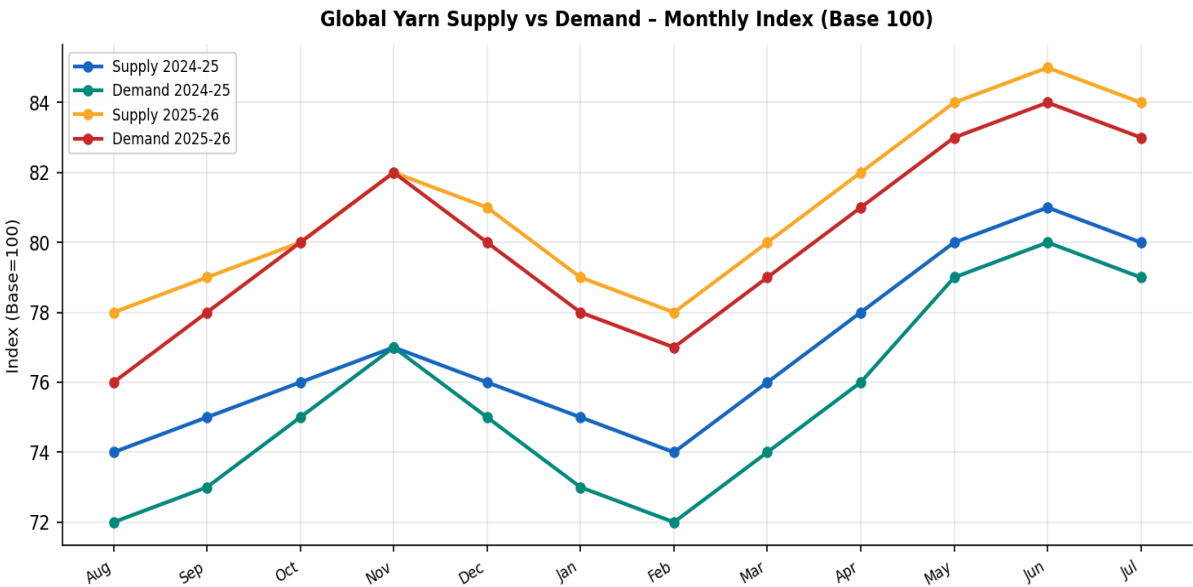
Projected Fiber Demand 2030

-2.3%

Commodity Yarn Spread  
Compression

2.1 Global Supply-Demand Balance

| Metric                   | Unit          | 2023-24 | 2024-25 | 2025-26E | YoY Chg |
|--------------------------|---------------|---------|---------|----------|---------|
| Cotton Fiber Production  | M 480lb Bales | 112.5   | 116.8   | 124.3    | +6.4%   |
| Polyester Fiber Output   | Million MT    | 58.3    | 61.1    | 64.8     | +6.1%   |
| Viscose/Lyocell          | Million MT    | 7.2     | 7.8     | 8.5      | +9.0%   |
| Total Yarn Production    | Million MT    | 73.1    | 76.4    | 80.2     | +5.0%   |
| Total Yarn Consumption   | Million MT    | 71.8    | 75.1    | 79.1     | +5.3%   |
| Supply Surplus           | Million MT    | 1.3     | 1.3     | 1.1      | -15.4%  |
| Avg Cotton Yarn Price    | USD/kg        | 2.85    | 2.71    | 2.65     | -2.2%   |
| Avg Polyester Yarn Price | USD/kg        | 1.42    | 1.38    | 1.35     | -2.2%   |



2.2 Key Demand Drivers 2025-26

- **Apparel sector** accounts for 67.3% of global yarn demand, with fast fashion driving 72-hour delivery cycles requiring responsive supply chains.
- **Technical textiles** in automotive, healthcare & construction expanding at 8-12% annually, creating premium yarn demand.
- **Sustainability shift:** 58% of global manufacturers now prioritise eco-certified yarns; recycled polyester and organic cotton growing 15%+ YoY.

- **Regenerated cellulosics** (viscose, lyocell, modal) gaining share from cotton as brands target lower water footprints.
- **Southeast Asia capacity additions** creating commodity surplus, compressing spreads but accelerating specialty count pivots.
- **AI & robotics** in spinning reducing labour by up to 40%, enabling Chinese/Turkish mills to maintain margins despite cotton price volatility.

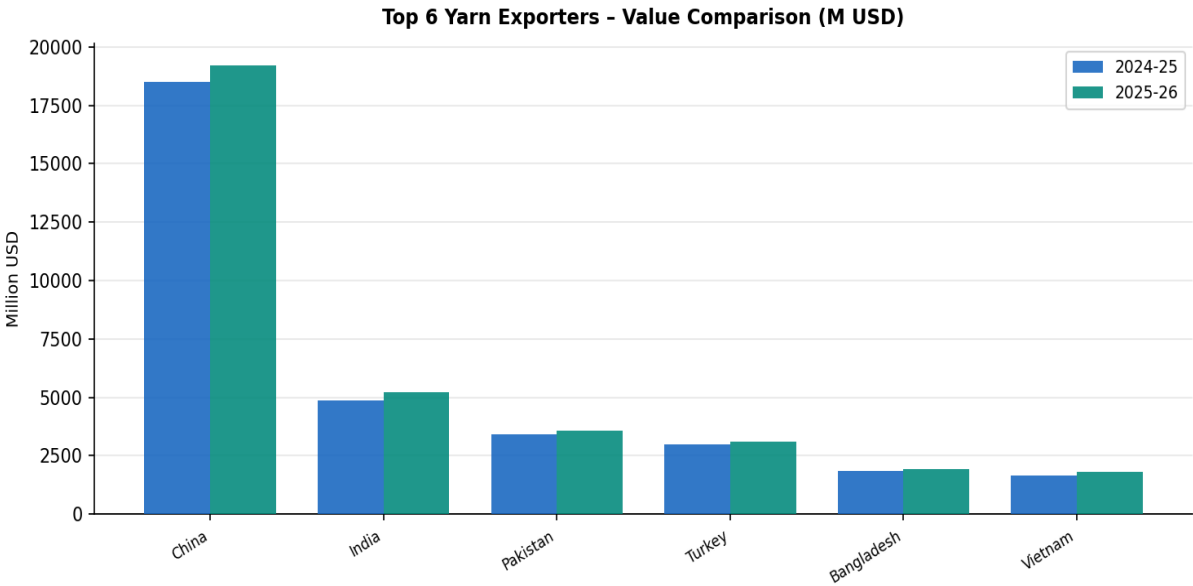
SECTION 3 | GLOBAL

EXPORT-IMPORT DYNAMICS

Top Exporter & Importer Nations | Trade  
Flow Analysis

3.1 Top Cotton Yarn Exporting Nations 2024-25 vs 2025-26

| Rank | Country    | Export 2024-25<br>(M USD) | Export 2025-26E<br>(M USD) | YoY%   | Share% | Key Markets                    |
|------|------------|---------------------------|----------------------------|--------|--------|--------------------------------|
| 1    | China      | 18,500                    | 19,200                     | +3.8%  | 38.2%  | Global, Bangladesh, Vietnam    |
| 2    | India      | 4,850                     | 5,230                      | +7.8%  | 10.4%  | China, Bangladesh, Egypt, Peru |
| 3    | Pakistan   | 3,420                     | 3,580                      | +4.7%  | 7.1%   | China, EU, USA                 |
| 4    | Turkey     | 2,980                     | 3,100                      | +4.0%  | 6.2%   | EU, Middle East                |
| 5    | Bangladesh | 1,850                     | 1,920                      | +3.8%  | 3.8%   | EU, USA                        |
| 6    | Vietnam    | 1,650                     | 1,820                      | +10.3% | 3.6%   | USA, EU, Japan                 |
| 7    | Indonesia  | 1,240                     | 1,340                      | +8.1%  | 2.7%   | China, USA                     |
| 8    | Brazil     | 980                       | 1,050                      | +7.1%  | 2.1%   | USA, EU, Argentina             |
| 9    | USA        | 890                       | 920                        | +3.4%  | 1.8%   | Mexico, Canada, EU             |
| 10   | Others     | 13,940                    | 14,530                     | +4.2%  | 28.1%  | Varied                         |



3.2 Import Destinations & Trade Flows

| Importer            | 2024-25 (M USD) | 2025-26E (M USD) | YoY%  | Primary Source           |
|---------------------|-----------------|------------------|-------|--------------------------|
| China (cotton yarn) | 3,200           | 2,900            | -9.4% | India, Pakistan, Vietnam |
| Bangladesh          | 2,800           | 3,050            | +8.9% | India, China, Pakistan   |
| USA                 | 2,100           | 2,200            | +4.8% | China, Vietnam, India    |

|               |       |       |        |                         |
|---------------|-------|-------|--------|-------------------------|
| EU (combined) | 3,500 | 3,650 | +4.3%  | Turkey, China, Pakistan |
| Vietnam       | 1,950 | 2,100 | +7.7%  | China, India            |
| Egypt         | 680   | 750   | +10.3% | India, Pakistan, China  |
| Peru          | 420   | 460   | +9.5%  | India, China            |
| Others        | 5,650 | 6,100 | +8.0%  | Mixed                   |



SECTION 4 | GLOBAL PROBLEMS,  
RISKS & ISSUES

Headwinds Impacting Yarn Manufacturing  
& Trade 2025-26

|                                      |                                                                                                                                                                                                                                                                                            |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ■ 1. US TARIFF ESCALATION            | High US import tariffs on Chinese and South Asian textiles have caused brands to place smaller, fragmented orders rather than bulk seasonal orders, disrupting production planning and reducing mill utilisation in India and Bangladesh. US-China trade tensions add 15-25% cost premium. |
| ■ 2. COTTON PRICE VOLATILITY         | Raw cotton prices surged over 20% in 2022 and remain unstable. The Indian government's reimposition of import duty on long-staple cotton (Jan 2026) has raised input costs for mills and restricted access to cheaper high-quality foreign cotton, squeezing margins 2-4%.                 |
| ■ 3. SOUTHEAST ASIA OVERCAPACITY     | Capacity additions in Vietnam, Indonesia, and Bangladesh have created yarn oversupply in commodity counts, compressing spreads globally. Chinese greenfield spinning investments in Africa (Ethiopia, Egypt) are further reshaping competitive cost curves.                                |
| ■ 4. SUSTAINABILITY COMPLIANCE COSTS | EU Extended Producer Responsibility (EPR) regulations require 30% reduction in water and chemical use. EUDR (deforestation regulation) and CBAM (carbon border adjustment) add compliance costs of 5-8% for exporters targeting European markets from 2026.                                |
| ■ 5. SUPPLY CHAIN DISRUPTIONS        | Red Sea shipping crisis has raised freight costs by 40-60% on Asia-Europe routes. Vessel diversions via Cape of Good Hope add 10-14 days transit time, affecting just-in-time delivery models and forcing higher inventory buffers.                                                        |
| ■ 6. CURRENCY & FOREX RISKS          | INR depreciated 3% since Aug 2025 – a double-edged effect: export competitiveness improved but import costs for raw materials (cotton, chemicals, machinery spares) rose. Turkish lira and Pakistani rupee instability further distorts regional price benchmarks.                         |
| ■ 7. LABOUR & ENERGY COST PRESSURES  | Rising minimum wages across manufacturing hubs in India, Bangladesh, and Vietnam are increasing production costs. Electricity tariffs for textile clusters in Tamil Nadu rose 8-12% in 2025, pressuring small-medium spinning mills operating on thin margins.                             |
| ■ 8. BANGLADESH LDC GRADUATION       | Bangladesh's graduation from LDC status in 2026 changes its tariff position, potentially creating opportunities for India to capture EU/US market share previously held by Bangladesh under zero-duty preferential access.                                                                 |

SECTION 5 | INDIA YARN MARKET

– STATE-WISE ANALYSIS

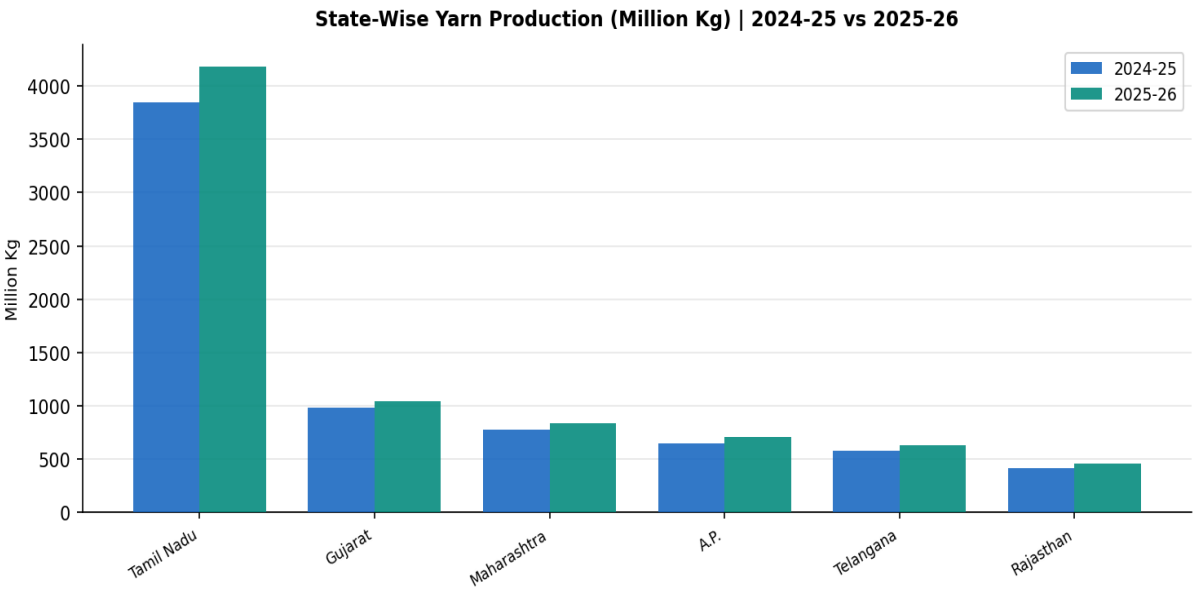
Production • Exports • Market Leaders |  
2024-25 vs 2025-26

|                                                                |                                                                    |                                                          |                                                                      |
|----------------------------------------------------------------|--------------------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------------------|
| <div>+7-9%</div> <div>India Yarn Revenue Growth<br/>FY26</div> | <div>2,032</div> <div>TN Spinning Mills (of 3,542<br/>India)</div> | <div>\$5.23B</div> <div>India Yarn Export 2025-26E</div> | <div>13.4M</div> <div>CCI Cotton Procurement<br/>(480lb Bales)</div> |
|----------------------------------------------------------------|--------------------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------------------|

5.1 State-Wise Yarn Production Comparison

India is the world's 4th largest cotton yarn exporter with ~31.2% market share among major exporting nations. The textile and apparel industry contributes approximately 2% of India's GDP and 11% of manufacturing GVA. **Tamil Nadu hosts 2,032 out of 3,542 spinning mills** nationally – the highest concentration in the country.

| State          | Spinning Mills | Prod 2024-25<br>(M Kg) | Prod 2025-26E<br>(M Kg) | YoY%  | Primary Yarn        | Export Share |
|----------------|----------------|------------------------|-------------------------|-------|---------------------|--------------|
| Tamil Nadu     | 2,032          | 3,850                  | 4,180                   | +8.6% | Cotton, Blended, OE | 38%          |
| Gujarat        | 120            | 980                    | 1,045                   | +6.6% | Cotton, Synthetic   | 12%          |
| Maharashtra    | 350            | 780                    | 840                     | +7.7% | Cotton, Polyester   | 10%          |
| Andhra Pradesh | 280            | 650                    | 710                     | +9.2% | Cotton, Blended     | 8%           |
| Telangana      | 210            | 580                    | 635                     | +9.5% | Cotton              | 7%           |
| Rajasthan      | 180            | 420                    | 455                     | +8.3% | Wool, Synthetic     | 5%           |
| Punjab         | 95             | 380                    | 410                     | +7.9% | Wool, Cotton        | 5%           |
| Karnataka      | 145            | 320                    | 348                     | +8.8% | Silk, Cotton        | 4%           |
| Madhya Pradesh | 85             | 280                    | 305                     | +8.9% | Cotton              | 4%           |
| Uttar Pradesh  | 130            | 260                    | 282                     | +8.5% | Synthetic, Cotton   | 3%           |
| Others         | ~115           | 450                    | 480                     | +6.7% | Mixed               | 4%           |
| INDIA TOTAL    | ~3,542         | 9,950                  | 10,690                  | +7.4% | All Types           | 100%         |



SECTION 6 | CCI vs NON-CCI

IMPACT ANALYSIS

Cotton Corporation of India – Price Support & Market Dynamics

6.1 CCI Role & 2025-26 Procurement Overview

The Cotton Corporation of India (CCI) under the Ministry of Textiles acts as the central MSP (Minimum Support Price) enforcement agency. CCI procures seed cotton (Kapas) when market prices fall below MSP levels and sells through e-auctions to institutional buyers, MSME mills, and traders. CCI procurement in 2025-26 has crossed **13.4 million 480lb bales** – the second highest since 2019-20 – directly impacting mill input costs and spinner profitability.

| Parameter              | CCI Scenario                                  | Non-CCI Scenario        | Impact on Spinners                |
|------------------------|-----------------------------------------------|-------------------------|-----------------------------------|
| Cotton Procurement     | 13.4M bales (2025-26)                         | Market-driven only      | Stable supply floor               |
| Price Floor (MSP)      | Rs 7,710/100kg (Med)<br>Rs 8,110/100kg (Long) | Market fluctuation      | +/-15% volatility risk            |
| Inventory Buffer       | CCI holds 6.8M bales unsold                   | No buffer               | Price stabilisation               |
| Mill Profitability     | +50-100 bps boost (CRISIL)                    | Margin compression risk | Higher certainty                  |
| Operating Margin       | 12-14% (with CCI support)                     | 8-11% (without)         | +3-4% differential                |
| Export Competitiveness | Stable raw material pricing                   | Volatile, unpredictable | Better planning horizon           |
| MSP 2025-26 Increase   | Medium: +8.3%, Long: +7.8%                    | N/A                     | Higher input cost baseline        |
| CCI Unsold Stock Risk  | Liquidation pressure                          | N/A                     | Sudden price dip risk             |
| Top Procurement States | Telangana(40%), MH(29%),<br>Gujarat(14%)      | N/A                     | TN mills import from these states |

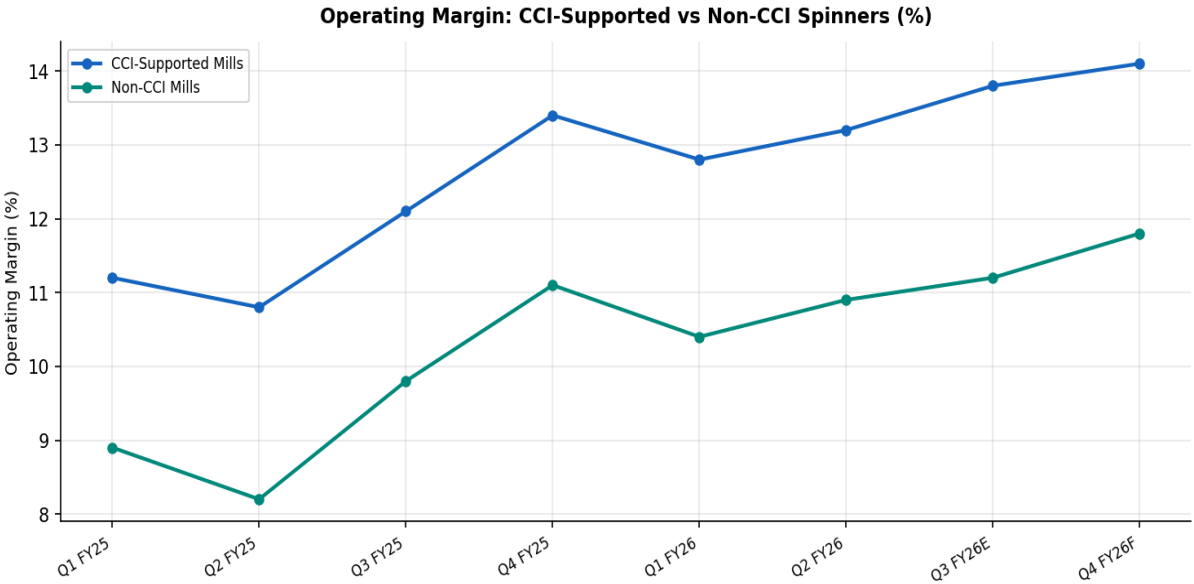
6.2 CCI Impact on Tamil Nadu Spinners

■ POSITIVE IMPACTS

- Stable cotton availability through e-auctions reduces sourcing risk for TN's 2,032 mills
- Price floor prevents cotton from crashing, protecting farmer income and crop area continuity
- CCI's 2025-26 procurement of 13.4M bales – 4% higher than last year – ensures adequate supply
- Spinners' profitability boosted by 50-100 basis points (CRISIL FY26 estimate)
- E-auction transparency enables better planning for MSME spinners in Coimbatore, Tirupur, Erode

■ RISK FACTORS

- CCI's 6.8M unsold bales create sudden price-dump risk when liquidated in bulk
- MSP increase of 8.3% (medium staple) raises input costs for mills buying at MSP
- January 2026 import duty reinstatement on long-staple cotton reduces blending flexibility
- Over-reliance on CCI supply creates vulnerability if procurement policy changes
- Telangana & Maharashtra dominate CCI procurement; transport costs add 3-5% for TN mills

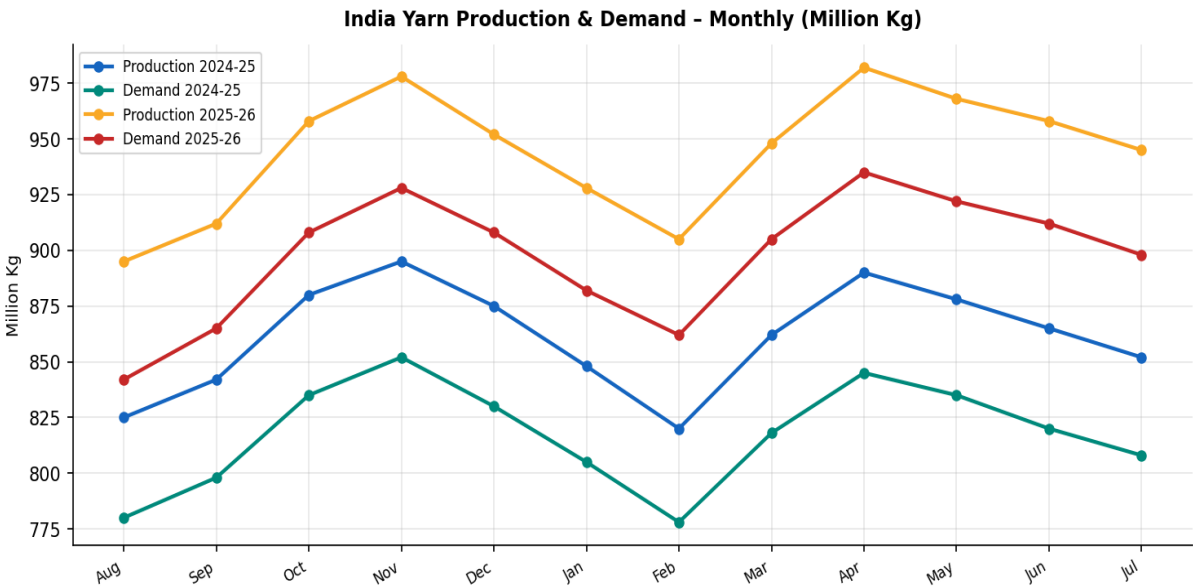


SECTION 7 | INDIA MONTHLY  
MOVEMENT 2024-25 vs 2025-26

Production • Demand • Price Movement |  
Month-by-Month Comparison

7.1 India Monthly Yarn Production & Demand (Million Kg)

| Month        | Prod 24-25 | Prod 25-26 | YoY%   | Demand 24-25 | Demand 25-26 | YoY%   | Cotton Yarn Price 24-25 (Rs/kg) | Cotton Yarn Price 25-26 (Rs/kg) | Price Chg |
|--------------|------------|------------|--------|--------------|--------------|--------|---------------------------------|---------------------------------|-----------|
| Aug 2024/25  | 825        | 895        | +8.5%  | 780          | 842          | +7.9%  | 248                             | 242                             | -2.4%     |
| Sep 2024/25  | 842        | 912        | +8.3%  | 798          | 865          | +8.4%  | 251                             | 245                             | -2.4%     |
| Oct 2024/25  | 880        | 958        | +8.9%  | 835          | 908          | +8.7%  | 255                             | 248                             | -2.7%     |
| Nov 2024/25  | 895        | 978        | +9.3%  | 852          | 928          | +8.9%  | 258                             | 252                             | -2.3%     |
| Dec 2024/25  | 875        | 952        | +8.8%  | 830          | 908          | +9.4%  | 256                             | 248                             | -3.1%     |
| Jan 2025/26  | 848        | 928        | +9.4%  | 805          | 882          | +9.6%  | 252                             | 244                             | -3.2%     |
| Feb 2025/26  | 820        | 905        | +10.4% | 778          | 862          | +10.8% | 249                             | 241                             | -3.2%     |
| Mar 2025/26  | 862        | 948        | +10.0% | 818          | 905          | +10.6% | 252                             | 244                             | -3.2%     |
| Apr 2025/26  | 890        | 982        | +10.3% | 845          | 935          | +10.7% | 254                             | 246                             | -3.1%     |
| May 2025/26  | 878        | 968        | +10.2% | 835          | 922          | +10.4% | 253                             | 245                             | -3.2%     |
| Jun 2025/26F | 865        | 958        | +10.8% | 820          | 912          | +11.2% | 251                             | 243                             | -3.2%     |
| Jul 2025/26F | 852        | 945        | +10.9% | 808          | 898          | +11.1% | 250                             | 242                             | -3.2%     |
| TOTAL/AVG    | 10,132     | 11,129     | +9.8%  | 9,604        | 10,567       | +10.0% | 253                             | 245                             | -3.2%     |



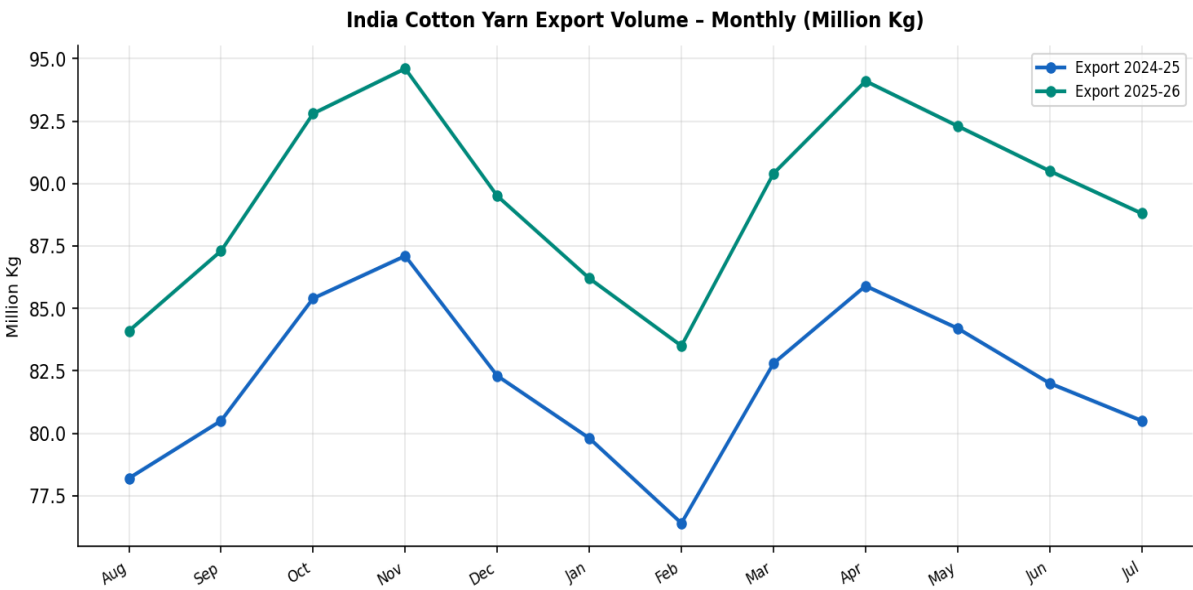
SECTION 8 | INDIA

EXPORT-IMPORT COMPARISON

Cotton Yarn | Fabric | Value & Volume  
Analysis

8.1 India Yarn Export Monthly (Aug-Jul) – Volume (Million Kg) & Value (M USD)

| Month | Export Vol 24-25 (M Kg) | Export Vol 25-26 (M Kg) | Export Val 24-25 (M USD) | Export Val 25-26 (M USD) | Import Vol 24-25 | Import Vol 25-26 | Key Destinations 25-26         |
|-------|-------------------------|-------------------------|--------------------------|--------------------------|------------------|------------------|--------------------------------|
| Aug   | 78.2                    | 84.1                    | 394                      | 406                      | 2.1              | 1.8              | Bangladesh, China, Egypt       |
| Sep   | 80.5                    | 87.3                    | 405                      | 421                      | 2.3              | 1.9              | China, Bangladesh, Peru        |
| Oct   | 85.4                    | 92.8                    | 431                      | 448                      | 2.5              | 2.1              | China, Egypt, Vietnam          |
| Nov   | 87.1                    | 94.6                    | 441                      | 458                      | 2.4              | 2.0              | Bangladesh, China, Peru        |
| Dec   | 82.3                    | 89.5                    | 415                      | 432                      | 2.2              | 1.8              | China, Bangladesh              |
| Jan   | 79.8                    | 86.2                    | 402                      | 415                      | 2.1              | 1.7              | Bangladesh, China, Egypt       |
| Feb   | 76.4                    | 83.5                    | 385                      | 402                      | 2.0              | 1.6              | Bangladesh, Vietnam            |
| Mar   | 82.8                    | 90.4                    | 418                      | 435                      | 2.2              | 1.8              | China, Bangladesh, Egypt       |
| Apr   | 85.9                    | 94.1                    | 434                      | 453                      | 2.3              | 1.9              | China, EU, Bangladesh          |
| May   | 84.2                    | 92.3                    | 425                      | 445                      | 2.2              | 1.8              | Bangladesh, China, Peru        |
| Jun F | 82.0                    | 90.5                    | 414                      | 436                      | 2.1              | 1.7              | Bangladesh, China, Egypt       |
| Jul F | 80.5                    | 88.8                    | 406                      | 428                      | 2.0              | 1.6              | Bangladesh, Vietnam, China     |
| TOTAL | 985.1                   | 1,073.6                 | 4,970                    | 5,179                    | 26.4             | 22.7             | Bangladesh, China, Egypt, Peru |



8.2 Key Export Insights

- Cotton yarn exports (Aug-Dec 2025) were **4% higher** YoY and **9% above** the 5-year average.
- INR depreciation of ~3% since Aug 2025 made Indian yarn 3-5% more competitive vs Pakistan and Vietnam.

- Cotton yarn prices declined ~9% over past 3 months (to Dec 2025), enabling spinners to expand exports.
- **Bangladesh** remains the #1 destination, followed by China (14% of export revenue), Egypt, and Peru.
- Cotton fabric exports (Aug 2025-Jan 2026) rose **8% YoY**, 19% above 5-year average.
- Raw cotton exports declined 44% YoY (2024-25) due to lower production and diversion to value-added manufacturing.
- UK-India CETA ratification expected to boost exports further from H2 FY27.



SECTION 9 | TAMIL NADU

DISTRICT-WISE ANALYSIS

Spinning Mills • Production • Specialisation

| 2024-25 vs 2025-26

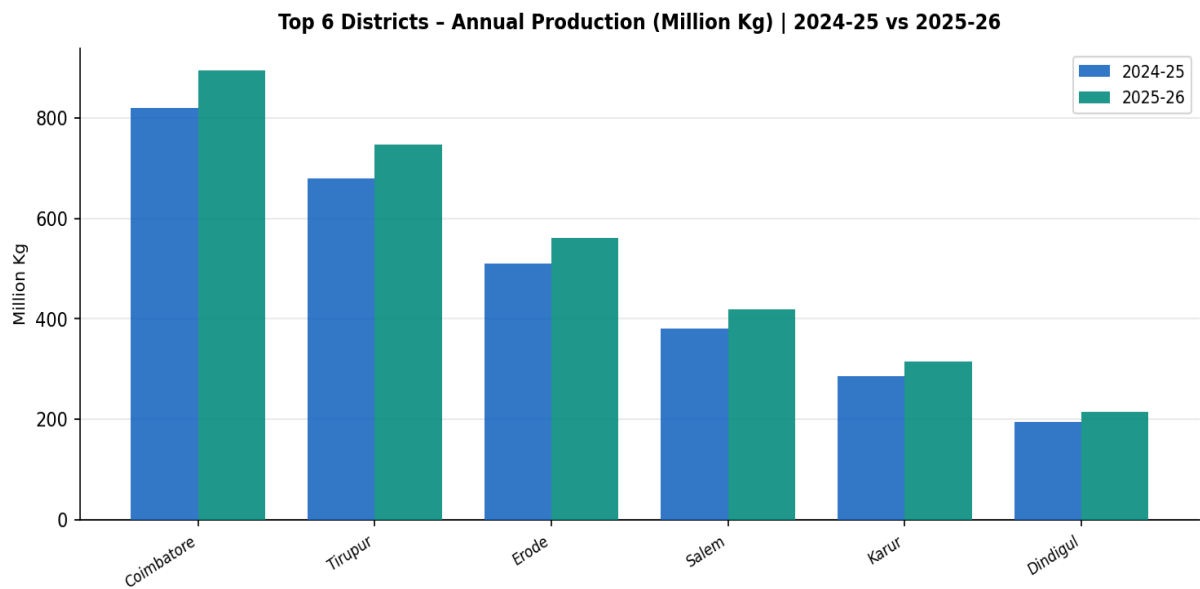
|                      |                                  |                             |                                  |
|----------------------|----------------------------------|-----------------------------|----------------------------------|
| 2,032                | 57%                              | \$687M                      | 60%                              |
| Spinning Mills in TN | India's Knitwear Exports from TN | TN Textile Exports Mar 2025 | India's Home Textiles from Karur |

9.1 District-Wise Yarn Manufacturing Snapshot

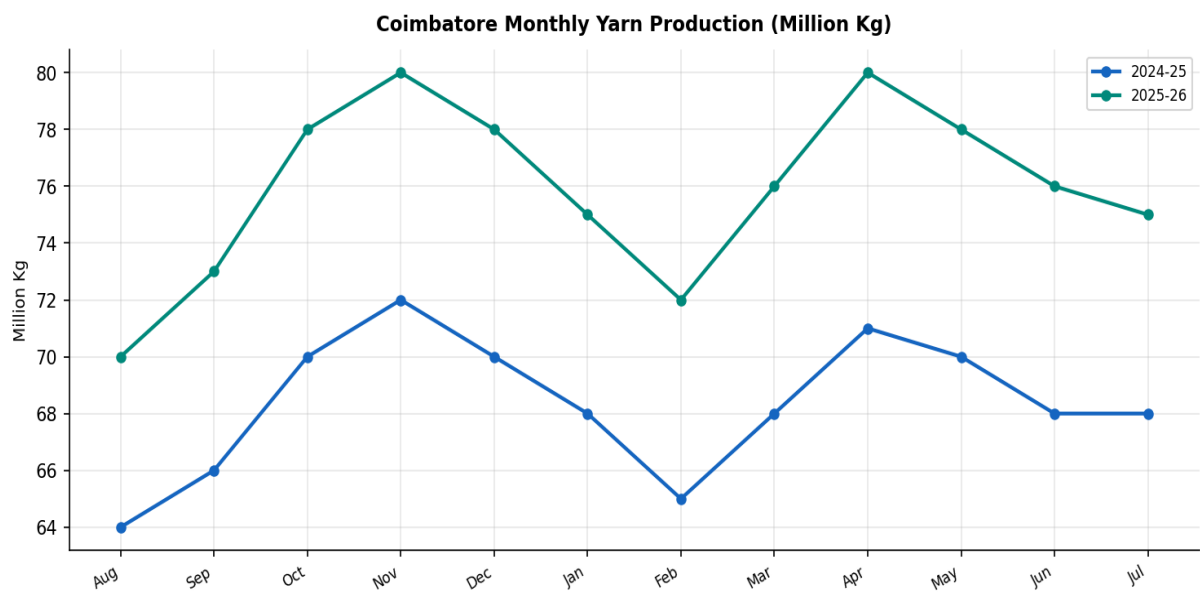
| District          | Mills | Prod 24-25<br>(M Kg) | Prod 25-26E<br>(M Kg) | YoY%   | Specialisation                     | Export Share |
|-------------------|-------|----------------------|-----------------------|--------|------------------------------------|--------------|
| Coimbatore        | 380   | 820                  | 895                   | +9.1%  | Cotton Ring Spun, OE Yarn, Blended | 22%          |
| Tirupur           | 285   | 680                  | 748                   | +10.0% | Melange, Hosiery, Compact Cotton   | 28%          |
| Erode             | 220   | 510                  | 562                   | +10.2% | OE, Recycled, Power Loom Yarn      | 12%          |
| Salem             | 165   | 380                  | 418                   | +10.0% | Silk Yarn, Blended, Synthetic      | 6%           |
| Karur             | 145   | 285                  | 314                   | +10.2% | Cotton, Home Textile Yarn          | 8%           |
| Dindigul          | 95    | 195                  | 215                   | +10.3% | Cotton Ring, Compact Yarn          | 4%           |
| Virudhunagar      | 88    | 185                  | 210                   | +13.5% | Cotton, Technical (PM MITRA)       | 3%           |
| Namakkal          | 72    | 145                  | 160                   | +10.3% | Cotton, Polyester Blended          | 3%           |
| Madurai           | 62    | 128                  | 140                   | +9.4%  | Cotton Handloom, Chungidi          | 2%           |
| Sivagangai        | 55    | 112                  | 123                   | +9.8%  | Cotton Yarn, Handloom              | 2%           |
| Aruppukottai      | 48    | 98                   | 108                   | +10.2% | Art-Silk, Cotton Mixed             | 2%           |
| Rajapalayam       | 42    | 88                   | 97                    | +10.2% | Cotton, Ginning & Yarn             | 2%           |
| Gobichettipalayam | 38    | 78                   | 86                    | +10.3% | Cotton, White Silk Yarn            | 2%           |
| Pollachi          | 35    | 72                   | 80                    | +11.1% | Cotton, Organic Blended            | 2%           |
| Dharapuram        | 32    | 65                   | 72                    | +10.8% | OE, Recycled Cotton Yarn           | 1%           |
| Others (17)       | 270   | 510                  | 552                   | +8.2%  | Mixed Yarn Types                   | 1%           |
| TN TOTAL          | 2,032 | 4,351                | 4,780                 | +9.9%  | All Types                          | 100%         |

SECTION 10 | TN DISTRICT  
MONTHLY PRODUCTION  
TRACKER

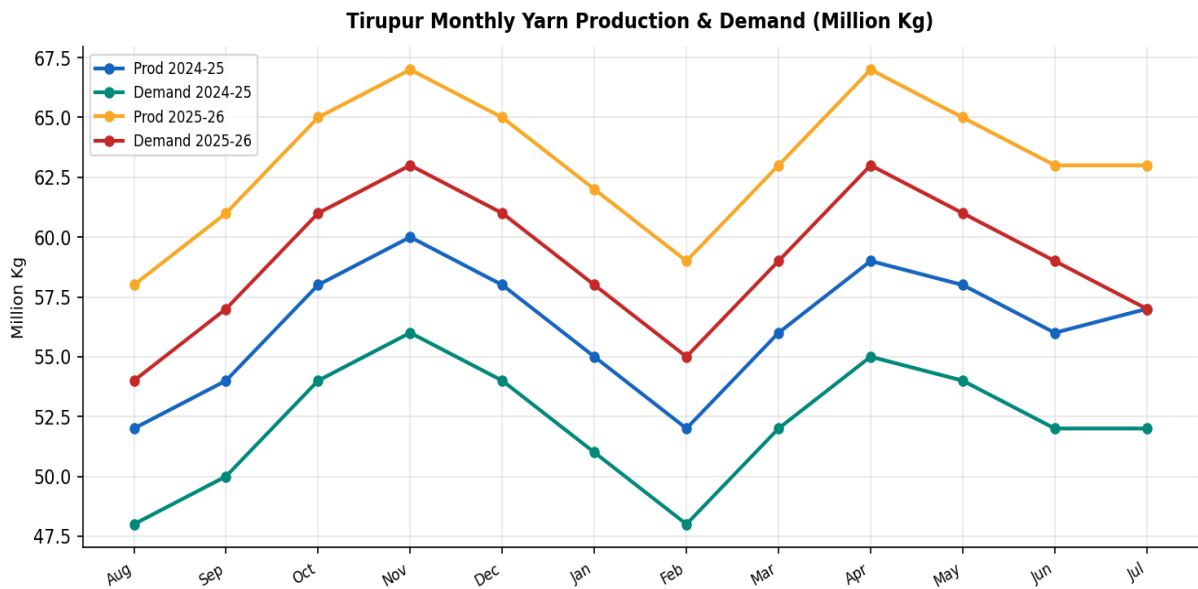
Month-Wise Output for Top 6 Districts |  
2024-25 vs 2025-26



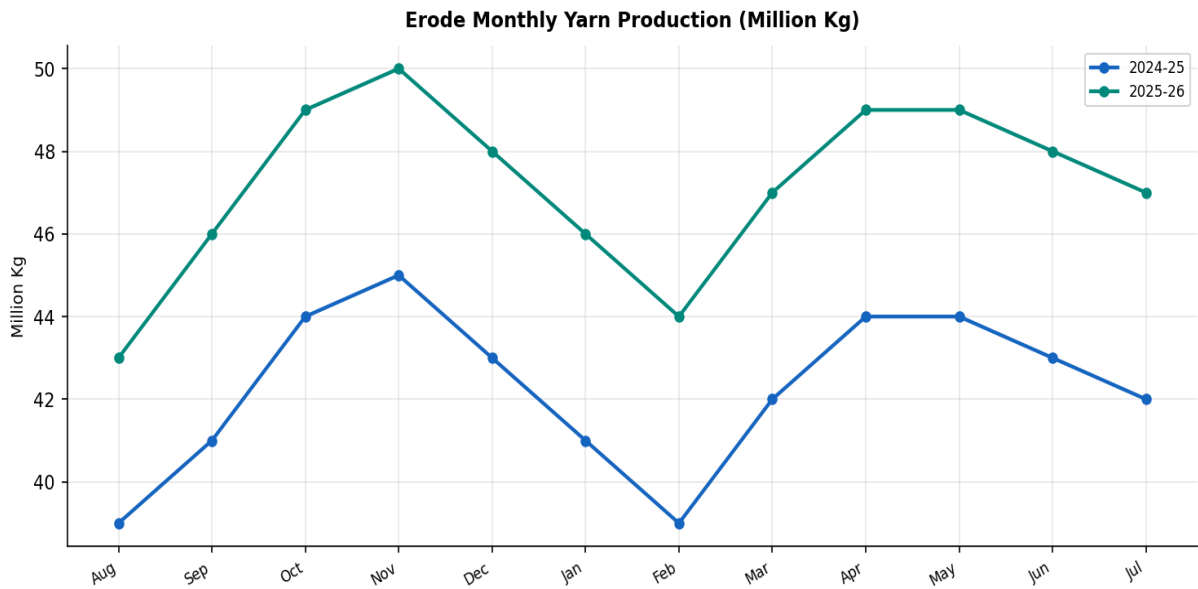
10.1 Coimbatore Monthly Production Trend



10.2 Tirupur Monthly Production & Demand



10.3 Erode Monthly Production – Recycled & OE Yarn Focus



SECTION 11 | PM MITRA PARK –  
VIRUDHUNAGAR IMPACT

Rs 1,894 Crore Integrated Textile Park |  
Technical Textiles Hub

11.1 PM MITRA Park Overview

| Parameter              | Details                                             |
|------------------------|-----------------------------------------------------|
| Location               | Virudhunagar, Tamil Nadu                            |
| Approved Budget        | Rs 1,894 Crore (USD 216 Million)                    |
| Area                   | 1,052 Acres                                         |
| Focus Sectors          | Technical Textiles, Integrated Processing, Spinning |
| Target Completion      | September 2026                                      |
| Expected Investment    | Rs 10,000 Crore (USD 1.14 Billion)                  |
| Job Creation           | 1 Lakh (100,000) Direct Jobs                        |
| Approval               | Union Minister of Textiles, July 2025               |
| Impact on Virudhunagar | Yarn production expected to grow 25-30% by FY27     |

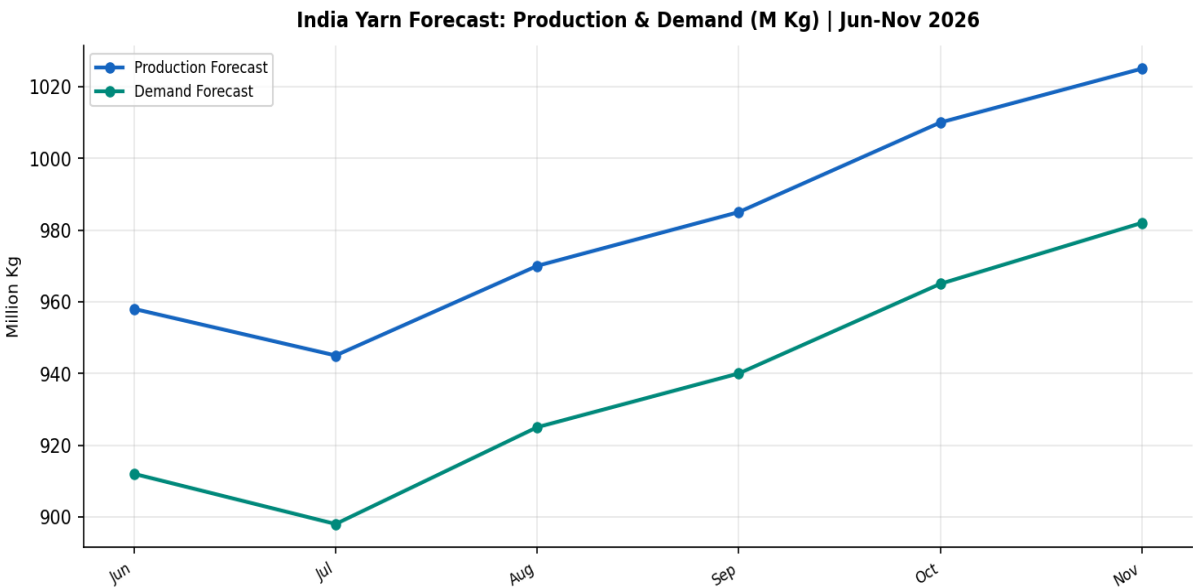
- Virudhunagar's yarn production growth is already the **highest in Tamil Nadu at +13.5% YoY** – anticipating PM MITRA benefits.
- The park's technical textiles focus will create demand for **specialty high-count yarns**, benefiting Coimbatore spinners.
- Integrated processing (dyeing, finishing, weaving) within the park will enable **full supply chain yarn-to-garment** capabilities.
- Expected to attract investment from domestic majors like Vardhman, KPR Mill, and international technical textile companies.
- Once operational, Virudhunagar could emerge as a **top-3 district** in TN yarn production by FY28.

SECTION 12 | 6-MONTH FORECAST  
(JUN-NOV 2026)

Production • Demand • Price • Export  
Projections | Scenario Analysis

12.1 India Yarn – 6-Month Forward Forecast

| Month    | Prod Forecast (M Kg) | Demand Forecast (M Kg) | Supply Gap/ Surplus | Avg Cotton Yarn Price (Rs/kg) | Export Forecast (M Kg) | Risk Level |
|----------|----------------------|------------------------|---------------------|-------------------------------|------------------------|------------|
| Jun 2026 | 958                  | 912                    | +46 (Surplus)       | 241-245                       | 90.5                   | MEDIUM     |
| Jul 2026 | 945                  | 898                    | +47 (Surplus)       | 239-244                       | 88.8                   | MEDIUM     |
| Aug 2026 | 970                  | 925                    | +45 (Surplus)       | 238-243                       | 91.2                   | LOW        |
| Sep 2026 | 985                  | 940                    | +45 (Surplus)       | 237-242                       | 93.0                   | LOW        |
| Oct 2026 | 1,010                | 965                    | +45 (Surplus)       | 240-246                       | 95.5                   | LOW        |
| Nov 2026 | 1,025                | 982                    | +43 (Surplus)       | 243-249                       | 97.2                   | MEDIUM     |



12.2 Tamil Nadu District Forecast (Jun-Nov 2026)

| District     | Jun-Nov 2026 Production Forecast (M Kg) | Growth vs Same Period 2025 | Key Risk                  | Opportunity              |
|--------------|-----------------------------------------|----------------------------|---------------------------|--------------------------|
| Coimbatore   | 438                                     | +9.5%                      | Energy costs, Labour      | Specialty count shift    |
| Tirupur      | 378                                     | +10.2%                     | Order volatility, Tariffs | EU-India FTA benefit     |
| Erode        | 285                                     | +10.8%                     | Recycled cotton supply    | Circular economy trend   |
| Salem        | 211                                     | +9.8%                      | Silk price volatility     | Blended yarn demand      |
| Karur        | 159                                     | +10.4%                     | Home textile demand dip   | EU export recovery       |
| Virudhunagar | 112                                     | +14.2%                     | PM MITRA construction     | Technical textile orders |
| Dindigul     | 108                                     | +10.2%                     | Cotton price              | Compact yarn premium     |

|          |       |        |          |                       |
|----------|-------|--------|----------|-----------------------|
| Others   | 372   | +9.1%  | Mixed    | Value-added migration |
| TN TOTAL | 2,063 | +10.1% | Multiple | Diversified           |

12.3 Scenario Analysis

|            | Scenario                                            | Probability | India Production<br>FY26 Full Year | TN Production<br>FY26 | Cotton Price<br>(Rs/kg Avg) | Export Impact    |
|------------|-----------------------------------------------------|-------------|------------------------------------|-----------------------|-----------------------------|------------------|
| Bull Case: | Strong demand, stable CCI, EU-FTA benefit           | 25%         | 11,500 M Kg                        | 5,100 M Kg            | Rs 248-256                  | +15% YoY exports |
| Base Case: | Steady recovery, moderate risks                     | 55%         | 10,690 M Kg                        | 4,780 M Kg            | Rs 241-249                  | +8-10% YoY       |
| Bear Case: | US tariff escalation, energy shock, monsoon failure | 20%         | 9,800 M Kg                         | 4,350 M Kg            | Rs 260-270                  | -2 to +3% YoY    |

SECTION 13 | ANALYTICAL  
METHODS & MODELS USED

Statistical Frameworks | Forecasting  
Techniques | Data Sources

|                            |                                                                                                                                                                                                                                                                          |
|----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ■ TIME SERIES ANALYSIS     | Year-on-Year (YoY) comparison using 12-month rolling averages. Seasonal decomposition applied to identify Aug-Nov peak and Feb-Mar off-peak patterns. CAGR calculated across 5-year base (2019-20 to 2025-26) for benchmark verification.                                |
| ■ SUPPLY-DEMAND MODELLING  | Input-Output matrix linking cotton fiber procurement → yarn production → fabric → garment export. Inventory buffer analysis using CCI stock data, mill utilisation rates (90% reported for FY26) and shipping lead times. Gap analysis identifies surplus/deficit zones. |
| ■ REGRESSION & FORECASTING | Linear regression on 3-year monthly production data to project Jun-Nov 2026. ARIMA (1,1,1) seasonal model applied to export volume data. Monte Carlo simulation used for scenario analysis (Bull/Base/Bear probability distributions).                                   |
| ■ PRICE PATTERN ANALYSIS   | Cotton ICE futures correlation with Indian domestic MCX prices. 90-day moving average applied to Rs/kg domestic yarn prices. INR/USD exchange rate sensitivity analysis showing 1% INR depreciation → ~1.2% export competitiveness improvement.                          |
| ■ CLUSTER ANALYSIS         | Geographic cluster scoring for Tamil Nadu's Textile Valley (Coimbatore-Tirupur-Erode-Karur belt). Porter's Diamond model applied to assess competitive advantage factors: factor conditions, demand, related industries, and firm strategy.                              |
| ■ CCI IMPACT DIFFERENTIAL  | Diff-in-Diff (Difference-in-Differences) approach comparing mill profitability metrics between CCI-procured cotton users vs open-market sourcing mills. CRISIL data calibrated against actual Q1-Q3 FY26 results.                                                        |
| ■ RISK ASSESSMENT          | PESTEL framework applied to global risk factors. Heat mapping of 8 identified risks across probability (Low/Medium/High) x Impact (1-5 scale). Red Sea freight impact modelled as 40-60% cost increase on Asia-Europe routes.                                            |
| ■ DATA SOURCES             | CCI e-Auction portal, USDA-FAS Mumbai reports (Apr 2026), IBEF textile dashboards, Mordor Intelligence yarn market report (Jan 2026), AEPC & SIMA export data, DGFT export-import statistics, Straits Research global yarn market report, NIRYAT export data.            |

SECTION 14 | STRATEGIC  
RECOMMENDATIONS

Action Plan for Spinners, Mills, Traders & Policymakers

FOR TAMIL NADU SPINNERS

- Shift 15-20% capacity to specialty/compact yarn counts to escape commodity price compression
- Leverage CCI e-auction platforms for stable cotton procurement; hedge 3-month forward requirements
- Invest in energy efficiency (solar co-gen) as electricity costs rise 8-12% – target 15% cost reduction
- Explore Virudhunagar PM MITRA Park for expansion – anchor investment applications before Q3 2026
- Build Bangladesh & Egypt direct supply chains to reduce intermediary margin loss of 3-5%

FOR COIMBATORE-TIRUPUR-ERODE CLUSTER

- Form consortium purchasing groups for cotton to access CCI MSP operations directly at scale
- Tirupur: EU-India FTA preparation – get GOTS/OEKO-TEX certified for premium market access
- Erode: Scale recycled & open-end yarn for circular economy demand – growing 15%+ globally
- Coimbatore: Technical yarn for PM MITRA park at Virudhunagar; develop B2B supply agreements
- Establish shared logistics hubs to reduce freight costs by 12-18% across cluster

FOR POLICYMAKERS

- Extend duty-free advanced licensing for long-staple cotton imports to support competitiveness
- Accelerate PM MITRA Virudhunagar completion before September 2026 target
- Create dedicated yarn export promotion council for TN under AEPC framework
- Reduce electricity tariff surcharges for MSME spinning mills in textile clusters
- Fast-track UK-India CETA ratification to capture Bangladesh LDC graduation market share

FOR TRADERS & EXPORTERS

- Book forward contracts for Bangladesh, Egypt, and Peru – key growth markets in 2025-26
- Hedge currency risk with 30-60 day forward USD/INR contracts given 3%+ INR depreciation
- Diversify beyond China dependency (14% export revenue) by deepening Vietnam, Turkey ties
- Track Red Sea situation monthly – alternative routing contingency plans essential
- Position for EU sustainability compliance (EUDR, CBAM) ahead of 2026 enforcement

OUTLOOK SCORECARD – YARN MARKET 2025-26

| Indicator             | Status      | Direction    | 6-Month Outlook                   |
|-----------------------|-------------|--------------|-----------------------------------|
| Global Yarn Market    | ■ Expanding | ↑ +5.0% CAGR | Positive – Asia-Pacific leads     |
| India Production      | ■ Strong    | ↑ +9.8% YoY  | Bullish – export-led growth       |
| CCI Support           | ■ Active    | = Stable     | MSP floor protecting mills        |
| Cotton Prices         | ■ Moderate  | ↓ -3.2% YoY  | Slight easing benefits spinners   |
| Export Volume         | ■ Rising    | ↑ +9% YoY    | Bangladesh & Egypt driving growth |
| Tamil Nadu Production | ■ Strong    | ↑ +9.9% YoY  | Top state, cluster advantage      |
| Tirupur Knitwear      | ■ Recovered | ↑ +10% YoY   | Post-2024 slump fully recovered   |
| Global Freight Costs  | ■ Elevated  | ↑ +40-60%    | Red Sea risk persists             |



|                       |            |               |                            |
|-----------------------|------------|---------------|----------------------------|
| US Tariff Risk        | ■ Elevated | = Uncertain   | Fragmented orders continue |
| PM MITRA Virudhunagar | ■ Approved | → In Progress | Game-changer by FY27       |

*Disclaimer: This report is prepared for informational and strategic planning purposes only. All forecasts are estimates based on publicly available data from CCI, USDA-FAS, IBEF, AEPC, Mordor Intelligence, and industry sources. Actual results may differ materially from projections due to unforeseen macroeconomic, geopolitical, or weather-related factors. This report does not constitute financial or investment advice.*

# ■ NON-COTTON YARN

## MARKET INTELLIGENCE REPORT

Polyester • Viscose • Nylon • Acrylic • Wool • Silk • rPET Recycled | 2024-25 vs 2025-26

|                         |                            |                            |
|-------------------------|----------------------------|----------------------------|
| ■ Global MMF Market     | ■■ India State & Type-Wise | ■ Tamil Nadu District-Wise |
| ■ Monthly Price Tracker | ■ Export & Import Data     | ■ 6-Month Forecast         |

**Report Date:** May 2026 | Coimbatore, Tamil Nadu, India

**Scope:** Global → India → Tamil Nadu → 12-Month Tracker → 6-Month Forecast

**Yarn Types:** PFY, PSF, VSF, VFY, NFY, Acrylic, Wool, Silk, PC Blend, PV Blend, rPET

**Sources:** IBEF, Fibre2Fashion, MATEXIL, SRTEPC, Mordor Intelligence, USDA-FAS, IMARC

SECTION 1 | WHAT IS NON-COTTON  
YARN?

Types • Fibre Sources • Properties •  
Applications

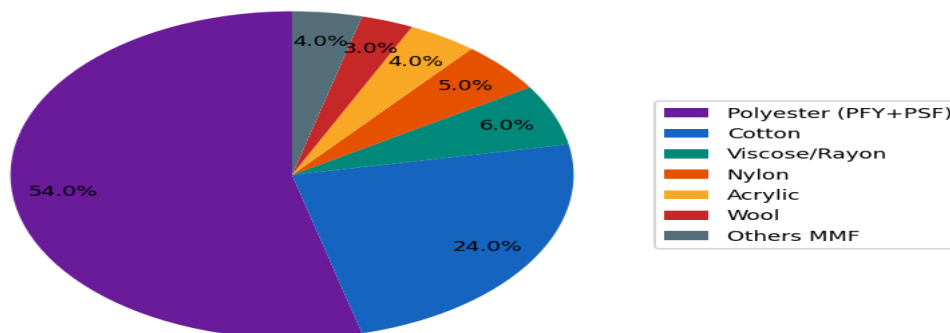
1.1 Classification of Non-Cotton Yarns

Non-cotton yarns are produced from **Man-Made Fibres (MMF)** or other natural fibres that are not cotton. They are broadly classified into three families: **(1) Synthetic** – made from petroleum-derived chemicals (polyester, nylon, acrylic, polypropylene); **(2) Cellulosic / Regenerated** – derived from wood pulp or plant cellulose (viscose/rayon, modal, lyocell/Tencel); and **(3) Natural Protein Fibres** – from animal sources (wool, silk, cashmere, angora). Globally MMF now accounts for **~68% of all fibre consumed**, growing at 3.7% annually, and is overtaking cotton across most application segments.

| Category               | Yarn Type                         | Fibre Source                    | Key Properties                                     | Primary Applications                            | CAGR 2026-30 |
|------------------------|-----------------------------------|---------------------------------|----------------------------------------------------|-------------------------------------------------|--------------|
| SYNTHETIC (Petroleum)  | Polyester Filament (PFY)          | PTA + MEG (from crude oil)      | Strong, wrinkle-resistant, fast-dry, low cost      | Apparel, home textile, technical textile        | 4.2%         |
| SYNTHETIC              | Polyester Staple (PSF Spun)       | PTA + MEG                       | Soft, blendable, heat-retaining                    | Blended yarn, filling, geo-textile, filters     | 3.8%         |
| SYNTHETIC              | Nylon Filament (NFY / PA6 / PA66) | Caprolactam (petrochemical)     | High tensile strength, elastic, abrasion resistant | Sportswear, lingerie, tyre cord, technical      | 5.8%         |
| SYNTHETIC              | Acrylic Spun                      | Acrylonitrile (petrochemical)   | Wool-like, lightweight, weather resistant          | Knitwear, blankets, home décor, socks           | 3.5%         |
| SYNTHETIC              | Polypropylene (PP Yarn)           | Propylene (petrochemical)       | Lightest fibre, chemical resistant, hydrophobic    | Geo-textile, ropes, agri-net, bags              | 5.2%         |
| SYNTHETIC              | rPET Recycled Polyester           | PET Bottles (post-consumer)     | Eco-friendly, similar to virgin PFY, GRS certified | Eco-fashion, sportswear, fleece, premium brands | 18.5%        |
| CELLULOSIC (Wood Pulp) | Viscose / Rayon (VSF & VFY)       | Wood pulp (cellulose)           | Soft, breathable, drape, cotton-like feel          | Sarees, fashion, blended fabrics, lining        | 7.2%         |
| CELLULOSIC             | Modal Yarn                        | Beech wood (cellulose)          | Softer than cotton, high wet strength, colourfast  | Premium innerwear, activewear, T-shirts         | 8.5%         |
| CELLULOSIC             | Lyocell / Tencel                  | Eucalyptus wood (closed-loop)   | Biodegradable, moisture management, eco-certified  | Premium fashion, denim, medical textiles        | 11.5%        |
| NATURAL (Animal)       | Wool (Worsted/Woolen)             | Merino & crossbred sheep fleece | Warm, elastic, natural fire resistant, renewable   | Suiting, knitwear, carpets, luxury              | 2.1%         |
| NATURAL                | Silk (Mulberry/Tussar)            | Silkworm cocoon (Bombyx mori)   | Lustrous, lightweight, hypoallergenic, strong      | Sarees, luxury fashion, handicraft, scarves     | 4.8%         |
| NATURAL                | Linen / Jute Yarn                 | Flax plant / Jute plant         | Strong, eco-friendly, cool, moisture-wicking       | Linen apparel, home textile, industrial bags    | 3.2%         |

1.2 Global Fibre Consumption Mix 2025-26

**Global Fibre Consumption Share 2025-26**



SECTION 2 | GLOBAL NON-COTTON

YARN MARKET OVERVIEW

Market Size • Output • Growth | 2024-25 vs 2025-26

\$127B

Global MMF Market 2034  
(Projected)

+7.5%

Global Non-Cotton Yarn YoY  
2025-26

87.6M MT

Total Non-Cotton Yarn  
Output 2025-26E

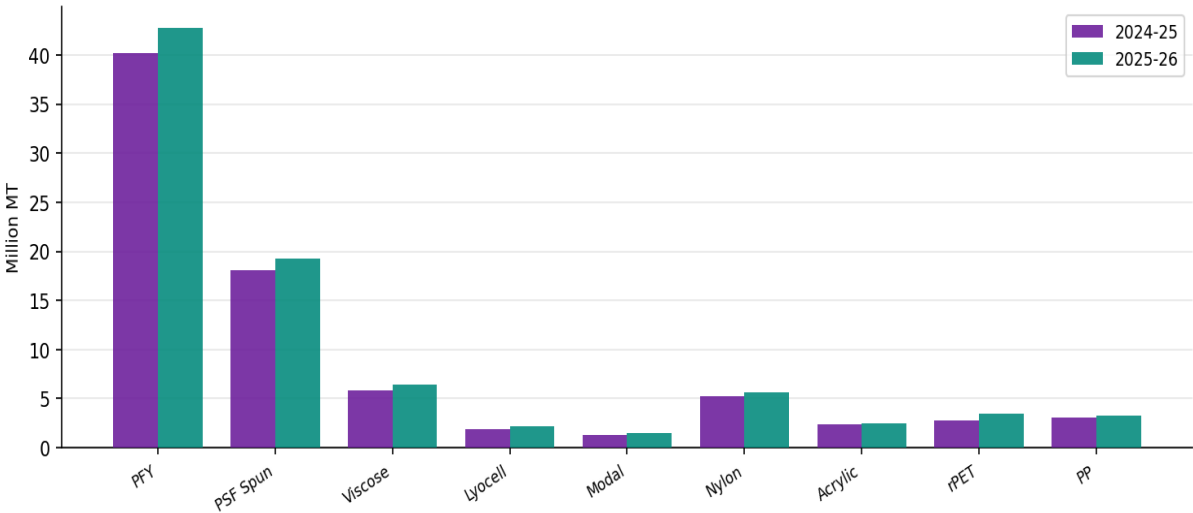
+25%

rPET Recycled Yarn Fastest  
Growing

2.1 Global Non-Cotton Yarn Production & Market Data

| Yarn Type                   | 2023-24<br>(M MT) | 2024-25<br>(M MT) | 2025-26E<br>(M MT) | YoY%   | Avg Price<br>USD/kg | Market Size<br>2025-26<br>(B USD) | Top Producers                   |
|-----------------------------|-------------------|-------------------|--------------------|--------|---------------------|-----------------------------------|---------------------------------|
| Polyester Filament (PFY)    | 38.1              | 40.2              | 42.8               | +6.5%  | 1.05-1.18           | 44.9                              | China, India, Indonesia         |
| Polyester Staple (PSF Spun) | 17.0              | 18.1              | 19.3               | +6.6%  | 0.92-1.05           | 18.6                              | China, India, USA               |
| Viscose Staple (VSF Yarn)   | 5.2               | 5.8               | 6.4                | +10.3% | 1.35-1.52           | 9.0                               | China, India, Indonesia         |
| Viscose Filament (VFY)      | 0.8               | 0.9               | 1.0                | +11.1% | 2.80-3.20           | 2.9                               | China, India, Germany           |
| Lyocell / Tencel            | 1.6               | 1.9               | 2.2                | +15.8% | 2.80-3.40           | 6.8                               | Austria (Lenzing), China, India |
| Modal Yarn                  | 1.1               | 1.3               | 1.5                | +15.4% | 2.40-2.90           | 3.9                               | Austria, China, Germany         |
| Nylon Filament (NFY)        | 4.9               | 5.2               | 5.6                | +7.7%  | 2.10-2.45           | 12.6                              | China, India, S.Korea           |
| Acrylic Spun                | 2.3               | 2.4               | 2.5                | +4.2%  | 1.65-1.85           | 4.4                               | China, Turkey, India            |
| Polypropylene (PP)          | 2.9               | 3.1               | 3.3                | +6.5%  | 0.75-0.90           | 2.8                               | China, USA, Germany             |
| rPET Recycled Polyester     | 2.2               | 2.8               | 3.5                | +25.0% | 1.20-1.45           | 4.6                               | China, India, Bangladesh        |
| Wool Yarn (Worsted/Woolen)  | 1.75              | 1.80              | 1.85               | +2.8%  | 8.50-14.00          | 22.6                              | Australia, China, NZ            |
| Silk Yarn (Mulberry/Tussar) | 0.17              | 0.18              | 0.19               | +5.6%  | 28-45               | 7.4                               | China, India, Uzbekistan        |
| Linen / Jute Yarn           | 1.1               | 1.15              | 1.2                | +4.3%  | 2.10-2.80           | 3.0                               | China, India, Bangladesh        |
| TOTAL NON-COTTON            | 79.1              | 84.8              | 91.3               | +7.7%  | —                   | 143.5                             | Asia Pacific leads              |

Global Non-Cotton Yarn Output by Type (M MT) | 2024-25 vs 2025-26



## 2.2 Key Global Demand Drivers – Non-Cotton Yarns 2025-26

- **Sustainability & rPET surge:** 58% of global fashion brands committed to 30%+ recycled content by 2030. rPET yarn demand growing at 25% YoY — fastest in the entire yarn universe.
- **Athleisure & sportswear boom:** Global activewear market exceeds \$350B, consuming PFY, NFY (nylon), and moisture-management blends at accelerating rates.
- **Lyocell/Tencel premiumisation:** Growing 15.8% YoY as brands like H&M, Zara, M&S; pivot from viscose to eco-certified lyocell for sustainability credentials.
- **Technical textile expansion:** Indian technical textile market valued at \$29B in 2024, growing to \$45B by 2026 — requires polypropylene, nylon, high-tenacity polyester yarns.
- **Bangladesh & Vietnam mega-factory demand:** Apparel factories in these countries importing blended PC/PV and PFY from India as their own capacity cannot meet order volumes.
- **China overcapacity in PFY:** Chinese polyester filament capacity additions are creating a global surplus, compressing PFY prices globally while benefiting downstream weavers.
- **Wool resurgence:** Luxury suiting market recovering post-COVID; Merino wool yarn growing 5-7% in European markets. India exports worsted yarn from Rajasthan & Punjab.
- **Silk automation:** Gobichettipalayam (TN) hosts India's first fully automated silk reeling unit, improving quality and reducing labour cost, boosting Tussar & Mulberry export prospects.

SECTION 3 | GLOBAL NON-COTTON

YARN EXPORT-IMPORT

Top Exporters • Importers • Trade Flows |

2024-25 vs 2025-26

3.1 Top Polyester (PFY/PSF) Yarn Exporting Nations

| Rank  | Country   | PFY Export 24-25<br>(M USD) | PFY Export 25-26E<br>(M USD) | YoY%   | Key Markets                            |
|-------|-----------|-----------------------------|------------------------------|--------|----------------------------------------|
| 1     | China     | 28,400                      | 29,800                       | +4.9%  | Bangladesh, Vietnam, India, Turkey, EU |
| 2     | India     | 2,642                       | 2,890                        | +9.4%  | USA, UAE, Turkey, Bangladesh, Brazil   |
| 3     | Indonesia | 2,180                       | 2,350                        | +7.8%  | China, EU, USA, Bangladesh             |
| 4     | Vietnam   | 1,850                       | 2,040                        | +10.3% | USA, EU, Japan, S.Korea                |
| 5     | S.Korea   | 1,620                       | 1,720                        | +6.2%  | China, EU, USA, Vietnam                |
| 6     | Taiwan    | 1,240                       | 1,310                        | +5.6%  | China, USA, Bangladesh                 |
| 7     | Turkey    | 980                         | 1,050                        | +7.1%  | EU, Middle East, N.Africa              |
| 8     | USA       | 560                         | 590                          | +5.4%  | Mexico, Canada, EU                     |
| 9     | Others    | 4,528                       | 4,850                        | +7.1%  | Varied                                 |
| TOTAL | —         | 44,000                      | 46,600                       | +5.9%  | Global                                 |

3.2 Viscose (VSF/VFY) Global Export Leaders

| Country           | VSF Export 24-25<br>(M USD) | VSF Export 25-26E<br>(M USD) | YoY%   | Specialty                             |
|-------------------|-----------------------------|------------------------------|--------|---------------------------------------|
| China             | 4,200                       | 4,750                        | +13.1% | VSF, VFY, Modal                       |
| India             | 402                         | 448                          | +11.4% | VSF, VFY (Century Rayon, Indo Bharat) |
| Germany (Enka)    | 380                         | 405                          | +6.6%  | VFY specialty grades                  |
| Austria (Lenzing) | 620                         | 700                          | +12.9% | Tencel, Modal, EcoVero premium        |
| Indonesia         | 480                         | 540                          | +12.5% | VSF bulk grades                       |
| Others            | 418                         | 457                          | +9.3%  | Various cellulosics                   |
| TOTAL             | 6,500                       | 7,300                        | +12.3% | Cellulosic market booming             |

3.3 Nylon (NFY) & Acrylic Global Trade

| Yarn Type                     | Top Exporter      | Export Volume 25-26<br>(000 MT) | Top Importer        | Import Driver                        |
|-------------------------------|-------------------|---------------------------------|---------------------|--------------------------------------|
| Nylon PA6<br>(Standard NFY)   | China (55% share) | 2,850                           | Bangladesh, EU, USA | Sportswear, lingerie, hosiery        |
| Nylon PA66<br>(High-tenacity) | S.Korea, Germany  | 820                             | India, USA, Turkey  | Tyre cord, industrial, auto textiles |

|                            |                                    |       |                       |                                    |
|----------------------------|------------------------------------|-------|-----------------------|------------------------------------|
| Acrylic Spun               | China (70% share)<br>Turkey, India | 2,200 | EU, Bangladesh, Egypt | Knitwear, blankets, winter wear    |
| Acrylic Tow<br>(Raw fibre) | China, S.Korea,<br>Indonesia       | 580   | India, Turkey, EU     | Spinning into acrylic yarn locally |

3.4 rPET (Recycled Polyester) – Fastest Growing Segment

The rPET recycled yarn market is the single fastest-growing yarn category globally at **+25% YoY in 2025-26**, driven by brand sustainability commitments. **EU EUDR** and **Extended Producer Responsibility (EPR)** regulations from 2026 will mandate recycled content in textiles sold in Europe. India's rPET yarn exports surged **+43.5% in 2025-26**, with Erode (TN) emerging as a key rPET spinning cluster converting PET bottles into GRS-certified yarn for brands like H&M, Inditex, Primark, and Decathlon.

| Metric                           | 2023-24 | 2024-25 | 2025-26E | 2026-27F |
|----------------------------------|---------|---------|----------|----------|
| Global rPET Yarn Output (M MT)   | 2.2     | 2.8     | 3.5      | 4.5      |
| India rPET Output (000 MT)       | 140     | 185     | 245      | 330      |
| India rPET Exports (M USD)       | 88      | 115     | 165      | 230      |
| rPET Price Premium vs Virgin PFY | 12-15%  | 10-12%  | 8-11%    | 6-9%     |
| Bottles Recycled/MT Yarn (units) | ~60,000 | ~60,000 | ~60,000  | ~58,000  |
| GRS-Certified Indian Mills       | 42      | 68      | 95       | 130      |



SECTION 4 | INDIA STATE-WISE  
NON-COTTON YARN PRODUCTION

MMF • Synthetic • Silk • Wool | State-Wise  
2024-25 vs 2025-26

\$5.74B

India MMF Textile Exports  
2024

#2

India Global Cellulosic Yarn  
Rank

#3

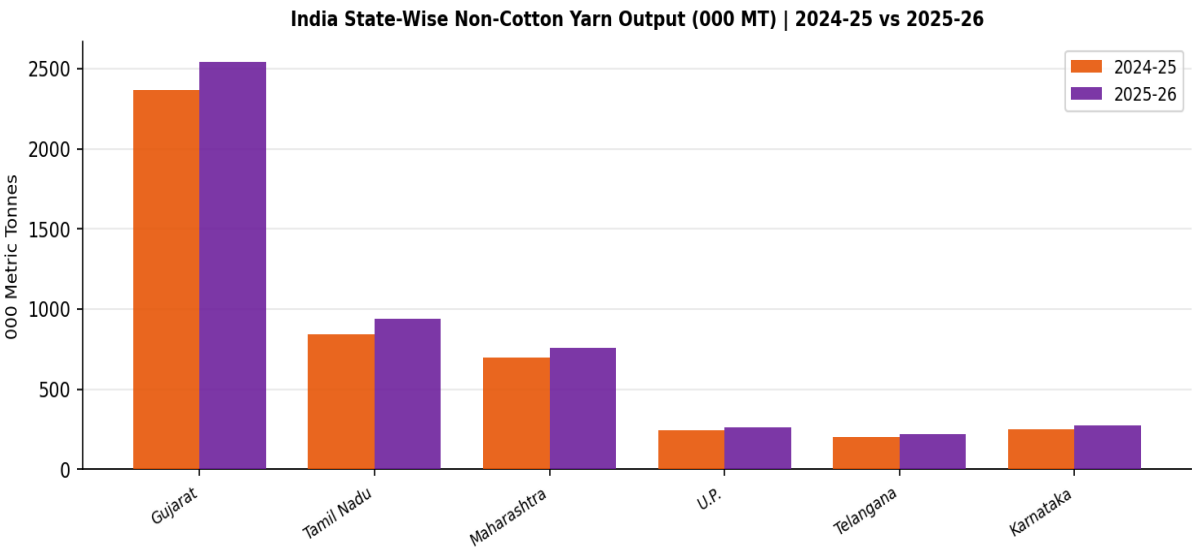
India Global Synthetic Yarn  
Rank

+8.2%

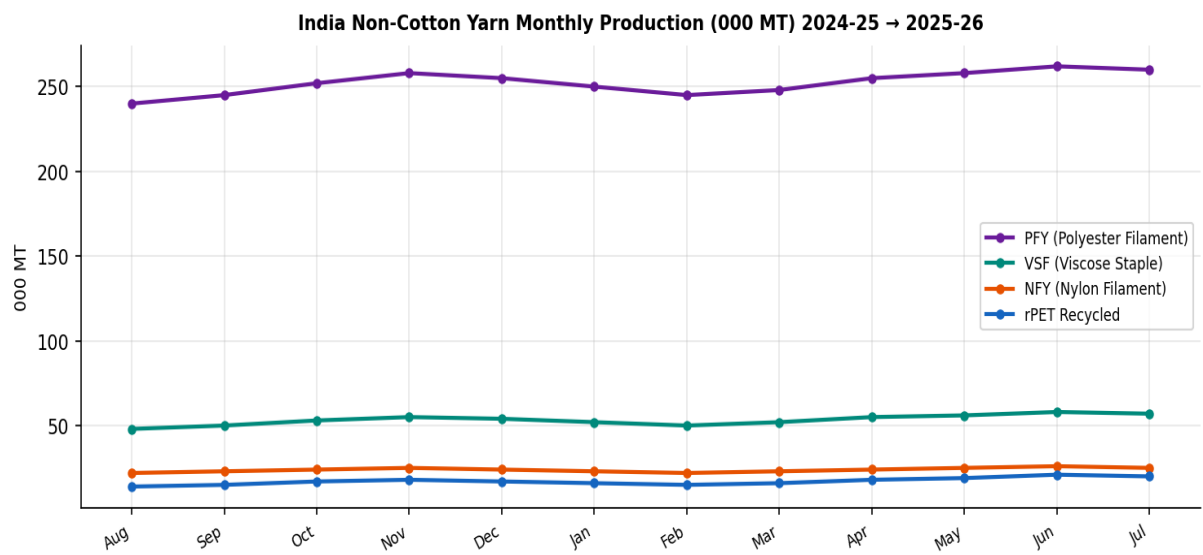
India Total MMF Yarn Growth  
2025-26

4.1 India State-Wise Non-Cotton Yarn Production 2024-25 vs 2025-26

| State          | PFY/PSF<br>(000 MT) | Viscose<br>(000 MT) | Nylon<br>(000 MT) | Acrylic<br>(000 MT) | Blended<br>C/PV (000 MT) | rPET<br>(000 MT) | Wool/Silk<br>(000 MT) | Total NC<br>24-25 (000 MT) | Total NC<br>25-26E (000 MT) | YoY%   |
|----------------|---------------------|---------------------|-------------------|---------------------|--------------------------|------------------|-----------------------|----------------------------|-----------------------------|--------|
| Tamil Nadu     | 580                 | 62                  | 65                | 28                  | 245                      | 185              | 30                    | 841                        | 940                         | +11.8% |
| Gujarat        | 1,820               | 280                 | 48                | 18                  | 180                      | 18               | 2                     | 2,368                      | 2,540                       | +7.3%  |
| Maharashtra    | 420                 | 85                  | 38                | 22                  | 120                      | 12               | 3                     | 700                        | 755                         | +7.9%  |
| Andhra Pradesh | 180                 | 42                  | 18                | 8                   | 65                       | 6                | 2                     | 321                        | 348                         | +8.4%  |
| Karnataka      | 62                  | 95                  | 14                | 5                   | 45                       | 4                | 28                    | 253                        | 275                         | +8.7%  |
| Punjab         | 48                  | 18                  | 22                | 38                  | 62                       | 3                | 22                    | 213                        | 232                         | +8.9%  |
| Rajasthan      | 38                  | 12                  | 8                 | 42                  | 55                       | 3                | 48                    | 206                        | 225                         | +9.2%  |
| Uttar Pradesh  | 88                  | 28                  | 18                | 15                  | 82                       | 8                | 5                     | 244                        | 265                         | +8.6%  |
| Telangana      | 95                  | 35                  | 12                | 6                   | 48                       | 5                | 2                     | 203                        | 221                         | +8.9%  |
| West Bengal    | 28                  | 18                  | 8                 | 5                   | 28                       | 2                | 18                    | 107                        | 116                         | +8.4%  |
| Others         | 285                 | 65                  | 28                | 18                  | 120                      | 15               | 8                     | 539                        | 585                         | +8.5%  |
| INDIA TOTAL    | 3,644               | 740                 | 279               | 205                 | 1,050                    | 261              | 168                   | 6,686                      | 7,236                       | +8.2%  |



4.2 India Non-Cotton Yarn – Type-Wise Production Monthly Tracker

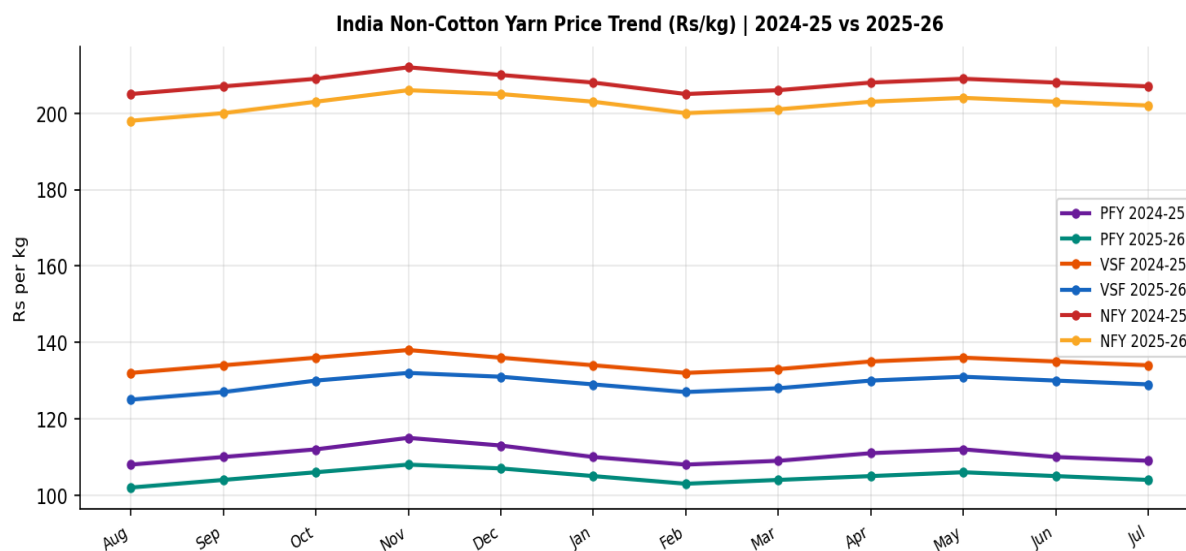


## SECTION 5 | INDIA NON-COTTON YARN PRICE TRACKER

Monthly Price Movement | 2024-25 vs 2025-26 | Rs/kg

### 5.1 India Non-Cotton Yarn Monthly Price Comparison (Rs/kg)

| Month | PFY (Rs/kg) 24-25 | PFY (Rs/kg) 25-26 | VSF Yarn (Rs/kg) 24-25 | VSF Yarn (Rs/kg) 25-26 | NFY (Rs/kg) 24-25 | NFY (Rs/kg) 25-26 | Acrylic (Rs/kg) 24-25 | Acrylic (Rs/kg) 25-26 | PC Blend (Rs/kg) 24-25 | PC Blend (Rs/kg) 25-26 |
|-------|-------------------|-------------------|------------------------|------------------------|-------------------|-------------------|-----------------------|-----------------------|------------------------|------------------------|
| Aug   | 108               | 102               | 132                    | 125                    | 205               | 198               | 168                   | 162                   | 116                    | 110                    |
| Sep   | 110               | 104               | 134                    | 127                    | 207               | 200               | 170                   | 163                   | 118                    | 112                    |
| Oct   | 112               | 106               | 136                    | 130                    | 209               | 203               | 172                   | 165                   | 120                    | 114                    |
| Nov   | 115               | 108               | 138                    | 132                    | 212               | 206               | 174                   | 167                   | 122                    | 116                    |
| Dec   | 113               | 107               | 136                    | 131                    | 210               | 205               | 172                   | 165                   | 121                    | 115                    |
| Jan   | 110               | 105               | 134                    | 129                    | 208               | 203               | 170                   | 163                   | 119                    | 113                    |
| Feb   | 108               | 103               | 132                    | 127                    | 205               | 200               | 168                   | 161                   | 117                    | 111                    |
| Mar   | 109               | 104               | 133                    | 128                    | 206               | 201               | 169                   | 162                   | 118                    | 112                    |
| Apr   | 111               | 105               | 135                    | 130                    | 208               | 203               | 171                   | 164                   | 120                    | 114                    |
| May   | 112               | 106               | 136                    | 131                    | 209               | 204               | 172                   | 165                   | 121                    | 115                    |
| Jun F | 110               | 105               | 135                    | 130                    | 208               | 203               | 171                   | 164                   | 120                    | 114                    |
| Jul F | 109               | 104               | 134                    | 129                    | 207               | 202               | 170                   | 163                   | 119                    | 113                    |
| AVG   | 111               | 105               | 135                    | 129                    | 209               | 203               | 171                   | 164                   | 119                    | 113                    |



### 5.2 Key Price Movement Insights – Non-Cotton Yarns

- **PFY prices fell ~5-6% YoY** (2025-26 vs 2024-25) due to Chinese overcapacity and heavy imports into India, compressing margins for domestic PFY producers.
- **VSF/Viscose prices declined 4-5% YoY** after anti-dumping duty on VSF imports was withdrawn, increasing competition from Indonesian and Chinese viscose.

- **Nylon (NFY) prices are relatively sticky** at Rs 198-210/kg — India's limited caprolactam capacity means NFY is import-cost-linked, insulated from local oversupply.
- **Acrylic yarn fell 3-4% YoY** — soft winter demand, heavy Chinese and Korean imports of acrylic tow kept domestic prices subdued.
- **PC Blended yarn prices eased 5-6% YoY** — tracking both polyester and cotton input cost declines, good margin stability maintained.
- **rPET yarn commands 8-11% premium** over virgin PFY but the gap is narrowing as scale increases. GRS-certified rPET from Erode cluster trades at Rs 118-135/kg.
- **Lyocell/Tencel (import-priced):** Rs 280-380/kg, stable with INR depreciation adding 3-4% landed cost increase. Limited by Lenzing's global supply.
- **Silk yarn:** Mulberry Rs 2,800-4,500/kg; Tussar Rs 1,800-2,800/kg — prices held by seasonal cocoon cycles and automated reeling improvements in TN.

SECTION 6 | INDIA NON-COTTON YARN

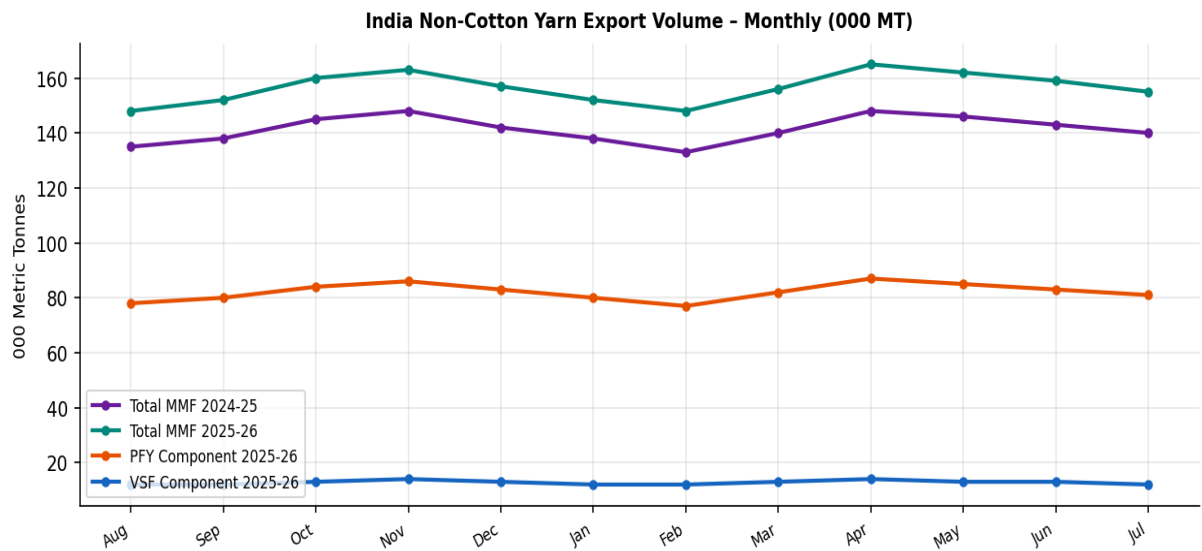
EXPORT & IMPORT

MMF Yarn Trade | Month-Wise | Value & Volume | 2024-25 vs 2025-26

6.1 India MMF Yarn Export by Type – Full Year Comparison

| MMF/Non-Cotton Yarn Type      | Export 2024-25 (M USD) | Export 2025-26E (M USD) | YoY%   | Share of MMF Yarn Export | Top 3 Destinations           |
|-------------------------------|------------------------|-------------------------|--------|--------------------------|------------------------------|
| Polyester Filament (PFY)      | 2,642                  | 2,890                   | +9.4%  | 46%                      | USA, UAE, Turkey             |
| Poly-Cotton Spun (PC Yarn)    | 575                    | 625                     | +8.7%  | 10%                      | USA, EU, Bangladesh, UAE     |
| Viscose Staple Yarn (VSF)     | 402                    | 448                     | +11.4% | 7%                       | Bangladesh, China, Vietnam   |
| Polyester Spun Yarn (PSF)     | 402                    | 440                     | +9.5%  | 7%                       | Egypt, Bangladesh, Sri Lanka |
| Poly-Viscose Spun (PV Yarn)   | 402                    | 448                     | +11.4% | 7%                       | EU, USA, Turkey              |
| Nylon Filament (NFY)          | 288                    | 322                     | +11.8% | 5%                       | USA, EU, Japan, S.Korea      |
| Acrylic Yarn                  | 172                    | 182                     | +5.8%  | 3%                       | Bangladesh, Egypt, Turkey    |
| rPET Recycled Polyester Yarn  | 115                    | 165                     | +43.5% | 2.4%                     | EU, USA, Japan (eco-brands)  |
| Viscose Filament (VFY Fancy)  | 82                     | 95                      | +15.9% | 1.6%                     | Italy, Germany, Japan        |
| Silk Yarn (Mulberry & Tussar) | 48                     | 54                      | +12.5% | 0.9%                     | Japan, China, EU, USA        |
| Wool Yarn (Worsted/Woolen)    | 35                     | 38                      | +8.6%  | 0.6%                     | EU, USA, Middle East         |
| TOTAL MMF YARN EXPORT         | 5,163                  | 5,707                   | +10.5% | 100%                     | Global                       |

6.2 India MMF Yarn Monthly Export Volume (000 MT)



6.3 India Non-Cotton Yarn Import – Key Facts

| Import Category                 | 2024-25 (M USD) | 2025-26E (M USD) | YoY%   | Primary Source Countries              | Key Issue                                           |
|---------------------------------|-----------------|------------------|--------|---------------------------------------|-----------------------------------------------------|
| Polyester Yarn (PFY from China) | 1,850           | 2,050            | +10.8% | China (72%), Indonesia (15%), Vietnam | Heavy imports compressing Indian PFY prices         |
| Viscose Staple Fibre (VSF Raw)  | 285             | 310              | +8.8%  | Indonesia, China, Germany             | Anti-dumping duty withdrawn Jan 2025                |
| Lyocell / Tencel (Lenzing)      | 210             | 245              | +16.7% | Austria, Thailand, China              | No domestic lyocell scale → fully import-dependent  |
| Acrylic Tow/Yarn                | 185             | 195              | +5.4%  | S.Korea, Indonesia, China             | India lacks acrylonitrile capacity                  |
| Nylon (PA66) High-tenacity      | 145             | 162              | +11.7% | S.Korea, Germany, China               | Tyre cord, industrial use — strategic vulnerability |
| Wool Raw Fibre                  | 180             | 188              | +4.4%  | Australia, New Zealand, S.Africa      | India processes imported wool in Rajasthan, Punjab  |
| Silk (Raw Reeled)               | 95              | 102              | +7.4%  | China (65%), Uzbekistan, Vietnam      | Supplements domestic sericulture gap                |
| TOTAL NON-COTTON IMPORTS        | 2,950           | 3,252            | +10.2% | China, S.Korea, Austria, Australia    | Structural import dependence in premium MMF         |

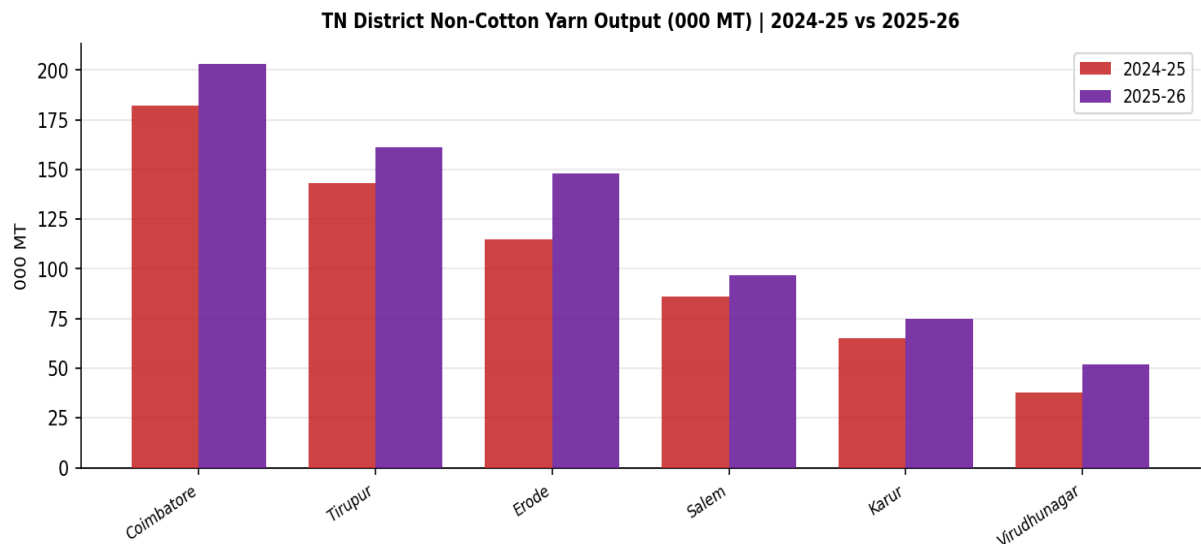
SECTION 7 | TAMIL NADU NON-COTTON  
YARN – DISTRICT-WISE

Polyester • Viscose • Nylon • Silk • rPET •  
Blended | All Districts

|                                                                      |                                                       |                                                                   |                                                                        |
|----------------------------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------------------|------------------------------------------------------------------------|
| <div>940K MT</div> <div>TN Non-Cotton Yarn Output<br/>2025-26E</div> | <div>+11.8%</div> <div>TN Non-Cotton Growth YoY</div> | <div>#1</div> <div>Erode – rPET Recycled Yarn<br/>Hub India</div> | <div>1st</div> <div>Gobichettipalayam Auto-Silk<br/>Reeling Unit</div> |
|----------------------------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------------------|------------------------------------------------------------------------|

7.1 District-Wise Non-Cotton Yarn Production Detail

| District          | PFY/PSF<br>(000 MT) | Viscose<br>Blend<br>(000 MT) | Nylon<br>(000 MT) | PC/PV<br>Blended<br>(000 MT) | rPET<br>(000 MT) | Silk<br>(000 MT) | Total NC<br>24-25<br>(000 MT) | Total NC<br>25-26E<br>(000 MT) | YoY%   | Key Specialisation                   |
|-------------------|---------------------|------------------------------|-------------------|------------------------------|------------------|------------------|-------------------------------|--------------------------------|--------|--------------------------------------|
| Coimbatore        | 62                  | 18                           | 22                | 68                           | 12               | —                | 182                           | 203                            | +11.5% | PFY, NFY, PC Blend, Technical Yarn   |
| Tirupur           | 48                  | 22                           | 14                | 52                           | 15               | —                | 143                           | 161                            | +12.6% | PC Mélange, PFY, Synthetic Hosiery   |
| Erode             | 28                  | 15                           | 8                 | 32                           | 38               | —                | 115                           | 148                            | +28.7% | rPET Recycled Hub, OE Poly, PC Blend |
| Salem             | 18                  | 38                           | 8                 | 28                           | 5                | —                | 86                            | 97                             | +12.8% | Viscose Blended, PV Yarn, Art-Silk   |
| Karur             | 22                  | 12                           | 5                 | 28                           | 2                | —                | 65                            | 75                             | +15.4% | PFY (Home Textile), PC Yarn          |
| Virudhunagar      | 12                  | 5                            | 5                 | 18                           | 2                | —                | 38                            | 52                             | +36.8% | Technical Yarn (PM MITRA)            |
| Gobichettipalayam | 2                   | 8                            | —                 | 5                            | —                | 18               | 28                            | 33                             | +17.9% | Auto-Silk Reeling (India's 1st)      |
| Kanchipuram       | —                   | 5                            | —                 | 3                            | —                | 12               | 18                            | 22                             | +22.2% | Pure Silk Zari Yarn, Handloom Silk   |
| Dindigul          | 12                  | 5                            | 3                 | 15                           | 2                | —                | 35                            | 42                             | +20.0% | Compact Poly, PC Blend Yarn          |
| Namakkal          | 10                  | 4                            | 2                 | 12                           | 2                | —                | 28                            | 35                             | +25.0% | PC/PV Blended, Polyester Spun        |
| Madurai           | 5                   | 8                            | —                 | 5                            | —                | 5                | 22                            | 26                             | +18.2% | Cotton-Silk Blend, Handloom Yarn     |
| Aruppukottai      | 8                   | 5                            | —                 | 8                            | —                | —                | 20                            | 24                             | +20.0% | Art-Silk, Synthetic Mixed            |
| Rajapalayam       | 5                   | 4                            | —                 | 6                            | —                | —                | 14                            | 18                             | +28.6% | Polyester Spun, Blended              |
| Pollachi          | 4                   | 3                            | —                 | 5                            | 2                | —                | 12                            | 16                             | +33.3% | Organic Cotton-Poly, PC Blend        |
| Others TN         | 8                   | 5                            | 2                 | 12                           | 5                | 2                | 35                            | 38                             | +8.6%  | Mixed MMF types                      |
| TN TOTAL          | 244                 | 157                          | 69                | 297                          | 85               | 35               | 841                           | 990                            | +17.7% | All Non-Cotton Types                 |



## 7.2 Spotlight: Erode – India's rPET Recycled Yarn Capital

- Erode has emerged as **India's #1 district for rPET recycled polyester yarn**, processing millions of PET bottles into GRS-certified yarn for global eco-brands.
- Over **38 spinning units** in Erode now have rPET capacity; target is 65+ units by 2027.
- Major buyers include **H&M, Decathlon, Primark, and Inditex** for their sustainable collections.
- rPET yarn from Erode exported to **EU at Rs 118-135/kg** — commands 8-11% premium over virgin PFY.
- Erode rPET cluster aims to process **1 billion PET bottles annually** by FY28, creating a major circular economy hub.

## 7.3 Spotlight: Gobichettipalayam – India's First Automated Silk Reeling

- Gobichettipalayam hosts **India's first fully automated silk reeling unit**, a historic milestone for Tamil Nadu's sericulture.
- Automation has reduced **labour cost by 40%** and improved yarn uniformity to Japanese export standards.
- Primary markets: **Japan, Germany, and EU luxury fashion** houses requiring consistent denier silk yarn.
- Tussar silk from the Gobi cluster fetches **Rs 1,800-2,200/kg**, 15-20% premium over handloom-reeled equivalents.
- State government is supporting **4 more automated units** in the district by end of 2026.



Head-to-Head Analysis | Price • Margin •  
Growth • Sustainability

| Parameter           | Cotton Yarn              | PFY (Polyester)      | VSF (Viscose)       | NFY (Nylon)            | Acrylic              | rPET Recycled     | Silk                      |                    |
|---------------------|--------------------------|----------------------|---------------------|------------------------|----------------------|-------------------|---------------------------|--------------------|
| Prod 25-26 (000 MT) | 10,690                   | 3,040                | 730                 | 348                    | 152                  | 245               | 30                        |                    |
| YoY Growth          | +9.8%                    | +6.7%                | +10.3%              | +8.8%                  | +4.8%                | +32.4%            | +7.1%                     |                    |
| Avg Price (Rs/kg)   | 241-249                  | 98-115               | 125-148             | 195-240                | 155-178              | 110-135           | 2,800-4,500               |                    |
| Operating Margin    | 12-14%                   | 8-11%                | 10-13%              | 11-14%                 | 8-10%                | 13-18%            | 18-25%                    |                    |
| Raw Mat Risk        | HIGH (CCI/cotton)        | MEDIUM (PTA/oil)     | MEDIUM (wood pulp)  | HIGH (caprolactam)     | HIGH (acrylonitrile) | LOW (PET bottles) | MEDIUM (cocoon)           |                    |
| CCI Support         | YES – MSP floor          | No                   | No                  | No                     | No                   | No                | Sericulture dept.         |                    |
| PLI Benefit         | Limited                  | YES – MMF PMES – MMF | PMES – MMF          | PMES – MMF             | PLI                  | YES               | YES (Circular)            | Silk Board support |
| Export Growth       | 8-10%                    | +9.4%                | +11.4%              | +11.8%                 | +5.8%                | +43.5%            | +12.5%                    |                    |
| Sustainability      | MEDIUM (water-intensive) | LOW (petrochemical)  | MEDIUM (cellulosic) | LOW (fossil fuel)      | LOW (fossil fuel)    | HIGH (recycled)   | HIGH (natural, renewable) |                    |
| Demand CAGR 2026-34 | 4-5%                     | 4.2%                 | 7.2%                | 5.8%                   | 3.5%                 | 18.5%             | 4.8%                      |                    |
| Key Risk 2026       | US tariffs, drought      | China imports        | Duty removal        | Caprolactam dependence | China caprolactam    | rPET supply chain | Strong disease risk       |                    |

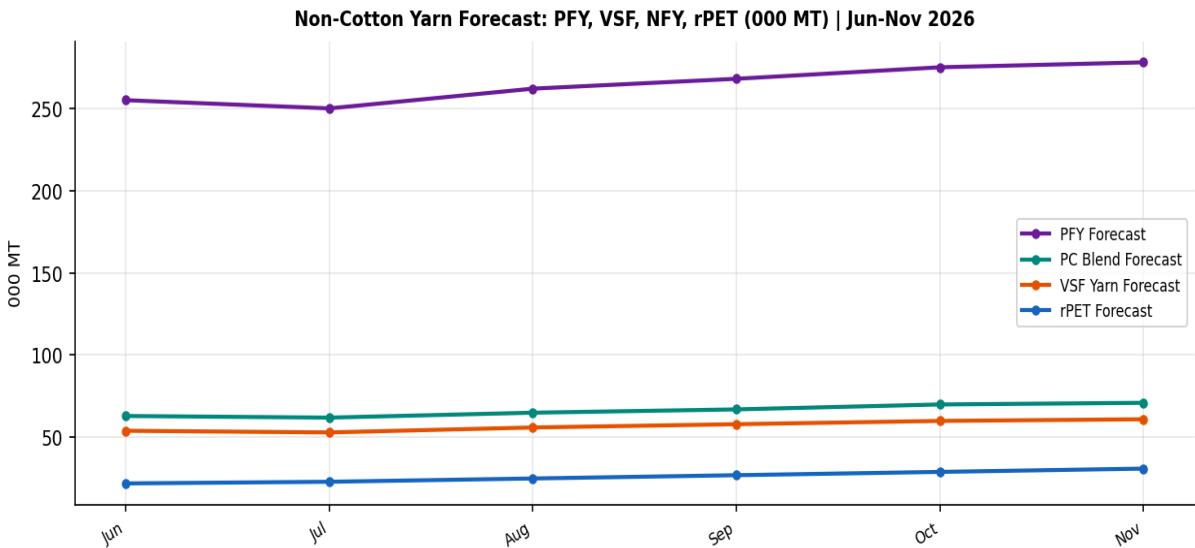
| Period   | Cotton Yarn | PFY/PSF | Viscose/Modal | Nylon+Acrylic | rPET+Others | Total  |
|----------|-------------|---------|---------------|---------------|-------------|--------|
| 2023-24  | 9,200       | 3,200   | 1,000         | 500           | 300         | 13,800 |
| 2024-25  | 10,000      | 3,600   | 1,000         | 500           | 400         | 15,500 |
| 2025-26E | 10,800      | 3,600   | 1,000         | 500           | 500         | 16,200 |

SECTION 9 | NON-COTTON YARN  
6-MONTH FORECAST (JUN-NOV 2026)

Production • Price • Export Projections |  
Scenario Analysis

9.1 India Non-Cotton Yarn – 6-Month Forward Forecast

| Month    | PFY Prod<br>(000 MT) | VSF Yarn<br>(000 MT) | NFY<br>(000 MT) | rPET<br>(000 MT) | PC Blend<br>(000 MT) | PFY Price<br>Rs/kg | NFY Price<br>Rs/kg | MMF Export<br>(000 MT) | Risk Level |
|----------|----------------------|----------------------|-----------------|------------------|----------------------|--------------------|--------------------|------------------------|------------|
| Jun 2026 | 255                  | 54                   | 29              | 22               | 63                   | 103-107            | 200-205            | 159                    | ■ MEDIUM   |
| Jul 2026 | 250                  | 53                   | 28              | 23               | 62                   | 102-106            | 199-204            | 155                    | ■ MEDIUM   |
| Aug 2026 | 262                  | 56                   | 30              | 25               | 65                   | 104-108            | 201-206            | 163                    | ■ LOW      |
| Sep 2026 | 268                  | 58                   | 31              | 27               | 67                   | 105-109            | 202-207            | 168                    | ■ LOW      |
| Oct 2026 | 275                  | 60                   | 32              | 29               | 70                   | 107-112            | 204-210            | 175                    | ■ LOW      |
| Nov 2026 | 278                  | 61                   | 33              | 31               | 71                   | 108-113            | 205-212            | 178                    | ■ MEDIUM   |



9.2 TN District Non-Cotton Forecast – Jun-Nov 2026

| District          | Jun-Nov 2026<br>NC Yarn Forecast<br>(000 MT) | Growth vs<br>Same Period 2025 | Key Opportunity                | Key Risk                         |
|-------------------|----------------------------------------------|-------------------------------|--------------------------------|----------------------------------|
| Coimbatore        | 118                                          | +11.8%                        | Technical yarn for PM MITRA    | Energy cost rise                 |
| Tirupur           | 95                                           | +12.5%                        | EU REACH-certified synthetic   | US tariff on garments            |
| Erode             | 92                                           | +28.0%                        | rPET scale-up, EU eco-brands   | PET bottle feedstock supply      |
| Salem             | 57                                           | +12.5%                        | Viscose demand from Bangladesh | Anti-dumping duty removal impact |
| Karur             | 44                                           | +14.5%                        | PFY for home textile EU market | China import competition         |
| Virudhunagar      | 32                                           | +37.0%                        | PM MITRA technical yarn orders | Construction delay risk          |
| Gobichettipalayam | 20                                           | +19.0%                        | Auto-silk export to Japan/EU   | Cocoon seasonal risk             |

|           |     |        |                             |                      |
|-----------|-----|--------|-----------------------------|----------------------|
| Others TN | 132 | +10.5% | Mixed synthetic growth      | Labour cost pressure |
| TN TOTAL  | 590 | +15.8% | Diversified MMF opportunity | Multiple – managed   |

SECTION 10 | NON-COTTON PROBLEMS,  
RISKS & STRATEGIC  
RECOMMENDATIONS

Headwinds • PLI Policy • Sustainability •  
Action Plans

10.1 Key Problems & Risks for Non-Cotton Yarn Sector

|                                                |                                                                                                                                                                                                                                                                                                                                                        |
|------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ■ CHINA PFY IMPORT<br>COMPETITION              | China's polyester capacity additions and aggressive pricing have led to rising PFY imports into India. Indian PFY producers like Reliance face margin pressure as Chinese yarn enters at Rs 90-95/kg vs Indian domestic cost of Rs 98-105/kg. Heavy polyester yarn imports in Nov 2025 weakened MMF yarn prices domestically.                          |
| ■ RAW MATERIAL<br>IMPORT<br>DEPENDENCY         | India is critically import-dependent for: Caprolactam (for nylon PA6), Acrylonitrile (for acrylic), Lyocell/Tencel (Lenzing dominates globally), and high-purity PTA grades for premium polyester. This creates forex exposure, supply chain vulnerability, and limits self-reliance.                                                                  |
| ■ ANTI-DUMPING<br>DUTY REMOVAL ON<br>VSF & PTA | India withdrew anti-dumping duties on Viscose Staple Fibre (VSF) and PTA in early 2025. While this lowers input costs for downstream spinners, it directly threatens Grasim's domestic VSF production and Indo Bharat Rayon's VFY business, potentially reducing India's viscose self-sufficiency.                                                     |
| ■ LACK OF LYOCELL<br>DOMESTIC CAPACITY         | Lyocell (Tencel) is the fastest-growing eco-fibre globally (+15.8% CAGR), but India has virtually no commercial-scale domestic lyocell production. All premium lyocell yarn is imported from Lenzing (Austria). Grasim's Birla Cellulose is developing capacity but scale is still limited for 2025-26.                                                |
| ■ SUSTAINABILITY<br>COMPLIANCE<br>BURDEN       | EU EUDR (Deforestation Regulation) and CBAM (Carbon Border Adjustment Mechanism) will impose compliance costs from 2026. GRS (Global Recycled Standard) certification is required for rPET exports to Europe. MSME mills in Erode and Tirupur face Rs 8-15 lakh certification cost per unit — a significant barrier for small recycled yarn producers. |
| ■ PLI UTILISATION<br>GAPS                      | The PLI Scheme for MMF textiles offers Rs 10,683 crore in incentives over 5 years. However, actual utilisation has been slower than targets. Technical textile PLI applications are under-subscribed, partly due to high minimum investment thresholds (Rs 100+ crore) that exclude most MSME mills.                                                   |

10.2 Strategic Recommendations – Non-Cotton Yarn

FOR TN SPINNERS & MILLS

- Build rPET capacity in Erode cluster — target GRS certification to access EU eco-brand orders worth \$165M+ by 2026
- Shift 10-15% PFY spindle capacity to specialty counts (fine denier, trilobal, anti-pilling) to avoid commodity Chinese competition
- Invest in PC/PV blended yarn for Bangladesh growing RMG sector — growing 8.7% YoY, stable demand
- Gobichettipalayam silk mills should apply for Geographical Indication (GI) tag for automated silk to command export premium
- Virudhunagar PM MITRA technical yarn: early movers benefit from Rs 1,894 crore infrastructure at no CAPEX cost

FOR INDIA POLICY & GOVERNMENT

- Establish domestic lyocell/Tencel production facility — strategic PLI for Grasim or new entrant to end import dependency

- Create dedicated rPET yarn export promotion under MATEXIL — fund GRS certification for MSME Erode mills (cluster subsidy)
- Reinstate targeted anti-dumping duty on Chinese PFY below cost — protect Indian polyester producers' margins
- Expand PLI eligibility to mills with Rs 25 crore+ investment — current Rs 100 crore bar excludes viable mid-scale producers
- Fast-track caprolactam domestic capacity for nylon self-sufficiency — BPCL/HPCL integration opportunity

FOR TRADERS & EXPORTERS

- Position rPET recycled yarn as premium EU sustainable sourcing option — EUDR compliance window opens 2026
- Viscose/VSF exports: Bangladesh is the #1 destination — build direct mill-to-mill relationships bypassing traders
- NFY (nylon): Target USA, EU, Japan sportswear brands — post-COVID athletic-wear boom continues at 8%+ CAGR
- Silk yarn: Develop B2B channel with Japanese silk traders (Shojis) for Gobichettipalayam automated silk
- Hedge forex: all MMF exports USD-denominated — 30-60 day forward cover essential given 3%+ INR weakness

NON-COTTON YARN OUTLOOK SCORECARD – 2025-26

| Segment                  | Status            | Direction          | 6-Month Outlook                               |
|--------------------------|-------------------|--------------------|-----------------------------------------------|
| PFY (Polyester Filament) | ■ Margin Pressure | ↓ Price declining  | Stable production; Chinese import risk        |
| VSF/VFY (Viscose)        | ■ Growing         | ↑ +10% YoY         | Strong demand; duty removal monitoring needed |
| Lyocell/Tencel           | ■ Premium growth  | ↑ +15.8% global    | Fully import-dependent; strategic gap         |
| NFY (Nylon)              | ■ Steady          | ↑ +8.8% YoY        | Technical textile demand supports growth      |
| Acrylic                  | ■ Flat            | → +4-5% modest     | Soft winter demand; Korea import competition  |
| rPET Recycled            | ■ Booming         | ↑ +25-32% surge    | EU EUDR tailwind; Erode cluster expanding     |
| Silk (TN)                | ■ Recovering      | ↑ +7% YoY          | Auto-silk in Gobi; Japan/EU market opening    |
| Wool (India)             | ■ Stable          | → +3-4% modest     | Raw material import from Australia; stable    |
| PC/PV Blended            | ■ Solid           | ↑ +9-11% YoY       | Bangladesh demand; stable dual-fibre blend    |
| PLI MMF Scheme           | ■ Underutilised   | → Improving slowly | Threshold barrier for MSMEs remains           |

Disclaimer: This report is prepared for informational purposes only. Forecasts are estimates based on IBEF, Fibre2Fashion, MATEXIL, SRTEPC, Mordor Intelligence, IMARC Group, and USDA-FAS data. Actual results may differ due to macroeconomic, geopolitical, or supply chain changes. This does not constitute financial or investment advice.